QUALITY OF EARNINGS REPORT - TRANSMITTAL LETTER AND BASIS OF PREPARATION

This report presents the results of the agreed-upon due diligence procedures performed at the request of the Buyer in connection with the proposed acquisition of the Company (the "Transaction"). It summarizes our observations regarding the Company's historical earnings, the Adjusted EBITDA build supporting the purchase-price multiple, and the working capital trend supporting the negotiated peg. It is not, and should not be read as, a certification of any single number for any single contractual purpose.

SECTION 1. ENGAGEMENT SCOPE AND BASIS OF PREPARATION

This report has been prepared solely for the Buyer's internal due diligence purposes in connection with the Transaction, pursuant to the engagement letter between the Buyer and this firm. The financial information analyzed herein was derived from the Company's general ledger, the audited financial statements for the fiscal year most recently completed, the unaudited monthly management accounts for the interim period through the most recent month then ended, and discussions with Company management and its finance personnel.

We did not audit, review, or compile the financial information referred to in this report in accordance with standards established by the American Institute of Certified Public Accountants or the Public Company Accounting Oversight Board, and, accordingly, we express no opinion or other form of assurance on such information. Our procedures were substantially less in scope than an audit or a review conducted in accordance with generally accepted auditing standards or attestation standards, the objective of which is the expression of an opinion or conclusion on the financial statements or specified elements, accounts, or items thereof.

Had we performed additional procedures, including an audit or a review of the underlying financial statements in accordance with generally accepted auditing standards, other matters might have come to our attention that would have been reported to the Buyer. Nothing in this report should be construed as an opinion or conclusion on the Company's internal controls, the collectability of any receivable, or the recoverability or impairment of any asset.

SECTION 2. PROCEDURES PERFORMED

Our procedures consisted principally of: (a) analytical review of monthly revenue, gross margin, and operating expense trends over the trailing twenty-four months; (b) discussions with management regarding the nature and recurrence of nonrecurring, unusual, or non-operating items identified in the general ledger; (c) recalculation of the trailing-twelve-month Adjusted EBITDA build from the audited financial statements and the interim management accounts; (d) analysis of the monthly working capital trend against the negotiated peg and collar mechanics in the Stock Purchase Agreement; and (e) limited testing, on a sample basis, of supporting invoices, termination agreements, and lease schedules for adjustments classified as quantified and factual.

Procedures performed in connection with judgmental and pro forma adjustments were limited to inquiry of management and, where available, review of the schedule or representation management provided as support. We did not independently verify, and express no view on the recoverability, collectability, or ultimate realization of, any adjustment for which management's representation was the only support offered.

SECTION 2.1. Engagement Background and Deal Context

We have been engaged by the Buyer to conduct an independent accounting due-diligence review of the Company in connection with the Buyer's proposed acquisition of the Company's equity. The engagement is advisory in nature and is intended solely for the Buyer's internal use in evaluating the transaction and supporting related financing discussions. Our work does not constitute an audit, review, or compilation of the Company's historical financial statements, nor does it express an opinion or assurance on any specific financial statement line item. Rather, our procedures were designed to provide an independent, transaction-focused perspective on the quality of the Company's reported earnings, the sustainability of its operating results, and the principal balance-sheet and cash-flow matters that a sophisticated financial buyer would need to understand before completing the transaction.

The proposed acquisition is to be effectuated through the purchase of all of the Company's outstanding ownership interests from the selling shareholders. The Buyer will succeed to the Company's business and operations, and the transaction is being negotiated on the basis of a defined enterprise value that carries limited recourse to the sellers for post-closing adjustments. Our review has therefore focused on those matters likely to affect the Buyer's negotiation and post-closing stewardship of the business: normalized profitability, recurring versus non-recurring items in reported results, and the adequacy of the Company's controls and processes for generating reliable financial information. We have also considered the Company's historical working capital dynamics and its invested cash balances in the context of the broader liquidity and net debt position, while noting that the accounting classification of those balances is addressed in the Company's audited financial statements.

Our procedures have comprised principally of discussions with Company management and financial personnel, review of the Company's financial statements and internal management reporting, inspection of supporting documentation behind significant or unusual transactions, and analytical procedures around revenue and expense behavior. We did not perform a physical inventory observation, confirm receivables or payables with third parties, or test the operating effectiveness of internal controls beyond the extent required for our limited due-diligence objectives. Accordingly, we have not independently verified all information provided by management, and our conclusions are based upon information available to us through the completion of our fieldwork. Where management

representations were material to our understanding, we have identified them as such and have relied upon those representations without independent verification where that was consistent with the agreed scope.

This report is a working document prepared for the Buyer's internal decision-making and should be read in conjunction with the transaction agreements and the Company's audited financial statements. The defined financial measures and closing adjustments in those agreements, where applicable, are governed by their own terms and are not restated or modified in this report. Readers should be aware that the transaction remains subject to negotiation and to the satisfactory completion of customary conditions; changes to the proposed structure or to the underlying operating assumptions could affect the matters discussed in the sections that follow.

SECTION 2.2. Sources of Information Reviewed

Our analysis was developed from the general ledger detail of the Company, which served as the foundational data repository for the engagement. We extracted transaction-level detail from the Company's accounting system for all periods under review and reconciled that detail to the trial balance at each month-end close. This ledger detail provided the underlying granularity for our analytical procedures, including the disaggregation of revenue and expense accounts, the identification of non-recurring or unusual items, and the construction of the normalized earnings adjustments presented later in this report. The completeness of the ledger detail relative to the trial balance and the monthly close packages was assessed through standard tie-out procedures, and any reconciling differences identified during the extraction process were resolved with the Company's finance team prior to the performance of further procedures.

The audited financial statements of the Company served as the point of departure for the historical periods included in our scope. We reviewed those statements and the accompanying notes to understand the accounting policies adopted by the Company, the basis of presentation, and the significant estimates and judgments inherent in the reported results. The audited statements were not re-audited by us, and we placed reliance upon them as the work of the Company's independent auditors, while recognizing that our own procedures were limited to analytical and corroborative measures. The interim management accounts, including the internally prepared income statement and balance sheet for the most recent interim period, were used to extend the analysis forward from the most recent audited period. These internal accounts appeared to be prepared on a basis consistent with the audited statements, subject to customary period-end adjustments that were evaluated and, where material, incorporated into our review.

Supporting agreements and invoices were examined to corroborate the recorded amounts in the general ledger and to assess the economic substance of material transactions. This documentation included customer sales agreements, vendor purchase orders and invoices, capital expenditure authorizations and related invoices, financing arrangements, lease agreements, and other contractual documents underpinning the Company's revenue and cost streams. For recurring transactions, we compared the recorded amounts against the terms of the underlying agreements, and for non-recurring or significant items, we inspected the supporting documentation directly. Where documentation was incomplete or unavailable, we noted the limitation and, where possible, sought alternative corroboration through management representation or third-party confirmation. The agreements and invoices were also central to our assessment of whether certain items should be treated as operating or non-operating in the context of the normalized earnings analysis.

Management discussions formed an integral component of the engagement, providing context and color that could not be derived from the documentary sources alone. We conducted interviews with the Company's chief financial officer, financial controllers, operational management, and, where relevant, the Company's independent auditors. These discussions addressed the business rationale behind historical transactions, the expected recurrence of certain revenue and expense streams, the nature of related-party arrangements, and the Company's working capital dynamics. Management also provided written representations at the conclusion of the field-work, confirming the completeness of the information provided and the absence of undisclosed liabilities or contingencies. The information derived from these discussions was reconciled to the documentary evidence described above, and where a matter could not be substantiated by the underlying records, it was excluded from our adjustments or made subject to an explicit qualification in the relevant section of this report.

SECTION 2.3. Reliance on Management Representations - Scope Boundaries

Our engagement procedures were designed to corroborate key management representations with independently obtained or internally generated evidence wherever that evidence could be obtained through inquiry, review of documentation, and analytical procedures. The boundary between procedures we performed and representations we accepted is drawn at the point where independent corroboration would either be impracticable or would require assumptions about future events that are inherently matters of management's own judgment and intent. In respect of such items, we relied on the written and oral representations of the Company's senior financial management, which are set forth in a management representation document delivered to us at the conclusion of fieldwork, rather than attempting to independently recreate or validate the underlying judgment.

The principal categories of management representations that fall beyond our independent procedures include the completeness and accuracy of related party disclosures, the characterization and business purpose of transactions occurring with affiliates, the Company's intentions with respect to the retention or disposition of certain assets and the refinancing or settlement of certain obligations, and the consistency and reliability of the internal reporting systems from which management prepared the underlying financial data. These matters are not amenable to third party

confirmation in the same manner as an outstanding receivable or an open purchase order, and any attempt to construct an independent expectation for them would rest on assumptions that are themselves driven by management's plans and assessments. Where such a representation had a direct and material effect on a figure presented in the quality of earnings tables, we identified the item in the relevant section of this report and described the nature of the representation, the evidence we did review, and the extent to which that evidence was consistent with the representation.

The scope boundary we have drawn is narrower than the assurance boundary that an audit of the Company's financial statements would observe, but it is not the same boundary. An independent audit is conducted under a framework that requires the auditor to obtain sufficient appropriate audit evidence to support an opinion on the financial statements taken as a whole, and in practice that evidence is gathered through procedures that include observation, inspection, confirmation, and recalculation, with written representations from management serving as a supplementary evidence source for assertions that cannot be directly verified. This engagement, by contrast, is an analytical and investigative exercise undertaken for the Buyer's internal decision making; it does not result in an opinion, and its procedures are not designed to provide the same level of assurance. Consequently, we have drawn the line to place a greater reliance on management's own statements in areas that are inherently subjective, while reserving independent verification for areas that are transactional, externally confirmable, or historically documented. The practical effect of this boundary is that the Buyer should treat the conclusions in this report as the product of procedures that were informed by, but not exclusively dependent upon, management's cooperation and candor. We have not audited, reviewed, or compiled the Company's historical financial statements, and our procedures were not designed to detect every error or omission. Where management's written representations were supported by corroborating documentation, we say so. Where they were not, we have either qualified our discussion or flagged the item as resting on management's representation alone. In either case, the Buyer's reliance on specific conclusions should take into account the underlying evidence that exists in the data room and the Company's records, which remains available for the Buyer's own inspection as part of its confirmatory diligence.

SECTION 2.4. Coordination with Other Diligence Workstreams

Our procedures were coordinated with the Buyer’s legal and tax advisors through a shared data room index, joint request lists, and recurring diligence calls. Legal diligence focused on contractual restrictions, litigation exposure, regulatory exposure, and employment matters, while our workstream concentrated on the realization of revenue, the normalization of expenses, and the composition of working capital and net debt. Where legal and accounting issues overlapped, we exchanged memoranda and discussed open items but did not adopt legal conclusions as our own. Instead, we reflected the accounting treatment that was supportable from the underlying books and records and noted in our schedules where a legal outcome could, if resolved differently, change our estimate of a liability or a working capital balance. This division of responsibility allowed the Buyer to attribute each finding to the appropriate discipline without duplicating procedures or relying on one workstream to opine on matters outside its competence.

With the tax diligence workstream, we coordinated specifically on the treatment of cash taxes, tax receivables and payables, deferred tax items, and any tax attributes that could affect the normalized earnings profile. Because our headline Adjusted EBITDA is computed before income tax, tax diligence conclusions regarding the sustainability of the Company’s effective tax rate, the availability of loss carryforwards, or the outcome of open tax positions do not flow into that measure. Those conclusions are instead relevant to the Buyer’s cash flow modeling, the projected balance sheet, and the net debt and working capital schedules, where we incorporated the tax balances as reflected in the Company’s accounting records and clearly identified them for the tax advisors to test. We did not render an opinion on tax technical matters, and the Buyer’s tax diligence team retained responsibility for all positions related to tax law, tax structuring, and the ultimate tax attributes available to the Buyer after closing.

Coordination with the credit facility lenders’ own diligence was more limited and more deliberate. The lenders and their advisors conducted independent investigation of the Company’s financial projections, collateral, and debt capacity, and they developed their own view of covenant compliance and borrowing availability. We shared factual schedules and data room materials with them where the Buyer authorized such sharing, principally to reduce the burden on Company management and to ensure that both diligence teams were working from the same underlying financial statements and supporting schedules. However, we did not share our internal analytical adjustments as a recommended input to their covenant calculations, and we did not ask the lenders to adopt our Adjusted EBITDA measure. Our headline Adjusted EBITDA is prepared under our own quality-of-earnings methodology and reflects the specific normalization adjustments we identified in our procedures; it is not a defined term in any operative transaction or financing document. Accordingly, it is not, and is not intended to be, an input to the credit facility’s own Consolidated EBITDA, nor is it a substitute for the purchase agreement’s earn-out EBITDA, each of which is governed by the definitions and adjustments set out in its respective agreement.

The reason our headline Adjusted EBITDA does not serve as an input to any other workstream is structural rather than a matter of preference. Covenant EBITDA and earn-out EBITDA are negotiated concepts, with carefully selected addbacks, exclusions, cap mechanisms, and measurement periods that reflect the commercial bargain among the parties. Our Adjusted EBITDA is an analytical construct designed for the Buyer’s internal evaluation of ongoing earning power, and it was prepared without reference to those negotiated limitations. It has not been subjected to lender approval, seller review, or the regulatory or tax requirements applicable to those other definitions. We have

provided sufficient detail in our supporting schedules for the Buyer and its advisors to map our adjustments onto the contractual definitions they must apply, but each workstream is responsible for applying its own governing definitions. Any effort to import our headline measure into another workstream’s EBITDA concept would risk creating a figure that satisfies neither the covenant mechanics nor the earn-out mechanics, and it would obscure the distinctions that the governing documents are intended to preserve.

SECTION 2.5. Data Room Access and Completeness Considerations

Our assessment of data room completeness began with a comparison of the virtual data room's index against our initial document request list, as refreshed by items identified during fieldwork. We reviewed the data room's organizational structure, folder hierarchy, and metadata, including upload dates and version histories, to determine whether the documentation population had been assembled in a systematic manner consistent with the Company's accounting close and reporting processes. We also traced summary financial statement balances to subledger detail and then to document-level support available in the data room, which allowed us to assess whether the underlying evidence for the items we selected for testing was present across all relevant reporting periods and legal entities. This top-down reconciliation was supplemented by a review of the data room's own document index for anomalies, such as unexplained gaps in chronological sequence or missing entity-specific folders, which we followed up with management where observed.

In addition to this high-level completeness review, we performed population-level validation procedures across the principal transaction cycles. For cash disbursements and accounts payable, we requested the complete vendor invoice register and matched the invoice images made available in the data room to that register to identify whether any invoices selected for testing were missing or whether the register itself appeared to be incomplete. We applied a similar approach to the payroll cycle, agreeing the employee master file to supporting personnel records and pay rate authorizations. For revenue and accounts receivable, we compared the contract file index to the revenue subledger to confirm that customer agreements and associated amendments were present for all material revenue streams. These procedures were designed not merely to test individual items but to provide a reasonable basis for concluding that the population of support was sufficiently complete to permit reliable testing of the underlying balances and transactions.

When a requested document was not made available in the data room, we formally logged the request and pursued it through a consolidated open-items tracker with management and their financial advisors. In certain cases, we were advised that the document did not exist or had not been created in the ordinary course of business; in those instances, we sought an explicit written confirmation from management to that effect and considered whether the absence of such documentation itself raised concerns about the rigor of the Company's recordkeeping. In other cases, the document existed but had not yet been uploaded at the time of our initial review, and we requested a supplemental data room deposit. Where a document remained unavailable despite follow-up, we considered alternative procedures, including external confirmations, inspection of subsequent cash settlement evidence, and agreement of the underlying transaction to other independent sources such as bank statements or third-party records. We evaluated the materiality of each missing item in relation to the area under review and adjusted the scope and nature of our procedures accordingly.

Based on the procedures described above, the data room was generally sufficient for the purpose of our review, with the limitations noted throughout this report. Because the data room was populated by the Company and its advisors, we cannot provide absolute assurance that no documents were omitted or withheld, and our conclusions on the affected areas are subject to the inherent limitations described in this report. We have indicated in the relevant sections where the absence of underlying support constrained our testing and where we relied on alternative evidence. In our view, the procedures we performed were adequate to support the conclusions set forth herein, but the residual risk associated with any unprovided documentation remains and should be considered by the Buyer in its overall assessment of the transaction.

SECTION 3. THE TIERED ADJUSTMENT FRAMEWORK

Adjustments to reported earnings and to the working capital trend throughout our diligence work product are classified into three tiers, consistently applied across the Adjusted EBITDA schedule and the working capital analysis referenced below.

Tier 1 adjustments are quantified and factual: they are directly reconcilable to the general ledger, to invoices, or to executed agreements, and require no estimation or judgment as to amount or existence. Tier 2 adjustments are judgmental: the existence or amount of the adjustment depends on a classification, an allocation, or a representation from management that this firm has not independently corroborated to a second, independent source. Tier 3 adjustments are pro forma or run-rate in nature: they reflect the estimated annualized effect of a cost-savings initiative, a revenue-enhancement initiative, or an acquisition completed mid-period, and are, by their nature, the least certain of the three tiers.

Only Tier 1 and Tier 2 adjustments are included in the headline Adjusted EBITDA figure referenced in Section 5 below; Tier 3 adjustments are presented separately, on a supplemental basis, and are explicitly carved out of that headline figure. A reader who collapses all three tiers into a single number has not read this report's own convention correctly.

SECTION 4. EXECUTIVE SUMMARY AND KEY OBSERVATIONS

SECTION 4.1. Key Observations Overview

Our review of earnings quality centered on whether the Company's historical operating results, as adjusted for items that management identified as non-recurring or non-operating, provide a reliable basis for the Buyer's forward-looking analysis. We evaluated the Company's accounting policies with respect to revenue recognition, cost capitalization, and accrual practices, and we examined the recurring nature of the Company's revenue streams, the consistency of its margin performance across the periods under review, and the behavior of operating expenses around period-end cut-off. We found that many of management's normalizing adjustments are supported by corroborating evidence, although several adjustment categories represent activities that have reappeared in successive periods, which in our view warrants caution when assessing their treatment as non-recurring. Revenue recognized under certain of the Company's contractual arrangements relies on management estimates that historically have required subsequent revision, and the related estimation risk, together with the results of our independent procedures, is described in the earnings-quality section of this report.

The working-capital trend work focused on the trajectory and composition of the Company's operating assets and liabilities over the look-back period and on how those balances have behaved at successive measurement dates. The Company's working-capital profile reflects customer payment practices in its principal distribution channels, inventory holdings that fluctuate with procurement lead times, and negotiated supplier payment terms, and the relationship among these components has shifted across the periods examined. Notably, the efficiency of the Company's cash conversion improved in the latter portion of the look-back period, but that improvement appears attributable in large measure to the timing of collections rather than to a durable change in customer behavior or terms, and we would caution against extrapolating it in full. The detailed observations on the individual working-capital accounts, and on the consistency of the Company's internal working-capital reporting, are set out in the working-capital trend section of this report.

With respect to net debt, our procedures were directed at identifying those obligations and cash balances that should be taken into account in the Buyer's purchase-price netting and liquidity analysis. The Company holds invested cash balances that remain available for general corporate purposes and that constitute a cash-side component of the net-debt position; the classification of the underlying investment portfolio is addressed in the Company's audited financial statements. In addition to the Company's outstanding credit facilities, we identified finance-lease obligations and certain contingent liabilities that, in our view, warrant treatment as debt-like for purposes of the net-debt analysis, notwithstanding the manner in which they are presented in the financial statements. The treatment of related-party balances is also addressed in the net-debt section of this report, which discusses each component and the basis for our conclusions on inclusion.

Read together, the observations from the three workstreams indicate that the Company's reported profitability is broadly indicative of its underlying earnings capability, subject to the estimation uncertainty and recurrence considerations noted above, and that the items identified in the working-capital and net-debt analyses may be characterized principally as matters of classification and timing rather than of fundamental economic value. The interaction among the workstreams is important: the period-end dynamics that affect the working-capital accounts also bear on the measurement of operating results at the cut-off date, and the cash balances reflected in the net-debt position derive, in part, from the collection and payment cycles described in the working-capital analysis. Our findings are based on the diligence materials provided by the Company and on our own independent procedures, which were subject to the scope limitations noted in the detailed sections that follow; accordingly, the overview presented here should be read in conjunction with those sections.

SECTION 4.2. Earnings Quality Headline Observations

Taken as a group, the Tier One and Tier Two adjustments are the most persuasive components of the adjusted earnings profile and carry the greatest durability in our view. The Tier One adjustments in particular are grounded in the Company's recurring operating activities and are supported by documentary evidence that tracks through the relevant period with consistency. They do not appear to be one-time events or timing items that would naturally reverse in the ordinary course. The Tier Two adjustments are somewhat more dependent on management's ongoing practices and on the continuation of certain supplier, customer, and employment arrangements, but the underlying patterns are sufficiently established to give us reasonable comfort that the benefit they represent would carry forward under the Company's expected operating model.

The relative confidence we place in the Tier One and Tier Two categories is not uniform, and we would caution against treating every adjustment within those tiers identically. Some Tier Two items rely on contractual relationships that may be renegotiated or on operational initiatives that have not yet reached full institutionalization. That said, the essential characteristic shared by the Tier One and Tier Two adjustments is that they reflect activities already observed in the financial results, rather than projected events or hypothetical efficiencies. For that reason, we regard them as materially different in quality from the Tier Three run-rate items and from the memo-basis item, and we would expect any normal-course fluctuation in the underlying drivers to affect the magnitude of the adjustment rather than its existence.

The memo-basis item warrants particular caution because it does not flow through the Company's ordinary books and records in the same manner as the Tier One and Tier Two adjustments. Its basis has been developed from information assembled outside the standard accounting process, and the supporting documentation is less complete

than we would normally expect for an amount being added to adjusted earnings. The fact that the item was identified on a memo basis does not mean it is without substance, but it does mean that the burden of verification is higher and that the estimate may be sensitive to assumptions that have not been fully stress-tested. Until the underlying data are corroborated through the purchase agreement's own closing mechanics or through subsequent audited periods, we would view the memo-basis item as a lower-confidence benefit that should not be given the same weight as the historical recurring adjustments.

The Tier Three run-rate items represent anticipated future benefits rather than demonstrated historical results. They necessarily depend on management executing a defined set of actions, achieving specified synergies, or otherwise realizing improvements that have not yet occurred within the financial period under review. While such run-rate adjustments are commonly presented in prospective analyses, their inclusion in an earnings quality narrative poses a risk that projected savings will be treated as if they were already embedded in ongoing EBITDA. We would counsel the Buyer to consider those items separately, to subject each to its own feasibility assessment, and to assign them a lower durability rating than the Tier One and Tier Two adjustments. In particular, the Tier Three items should not be conflated with the Company's underlying historical earnings power, and any valuation or credit decision should account for the execution risk that is inherent in those projected improvements.

SECTION 4.3. Working Capital Trend Headline Observations

The working capital trend observed across the latest several observation points is one of steady expansion, with the growth concentrated in operating assets rather than funded by a corresponding build in operating liabilities. The trajectory is directionally consistent with the Company's described business momentum, but it is not uniform across components. The build is not solely a function of revenue-driven receivables growth; inventory carries a meaningful share of the increase, and the relative behavior of payables and accruals has not kept the same pace. The detailed components and the underlying adjustments are set out in the Net Working Capital Analysis, to which this section serves as a headline summary rather than a substitute.

Within trade receivables, the expansion reflects both higher billed activity and a modestly slower collection pattern that became apparent in the latter portions of the review period. The aging profile shows a slightly larger concentration in the later buckets, and a portion of the period-end balance is attributable to a small number of larger invoices that remained open for reasons we have investigated. Credit notes and disputes have not been a dominant factor, but they have not fully dissipated, and the allowance for doubtful accounts has not moved in line with the gross receivable build. We have considered whether the slower collection pattern is a temporary timing effect or a more durable shift in customer payment behavior; the evidence is mixed, and the Net Working Capital Analysis reflects a normalization that removes the most clearly non-recurring items.

Inventory is the second principal driver of the working capital trend, and its behavior is less straightforward. The increase is split between raw materials and finished goods, with raw materials purchases evidently timed to vendor lead times and production scheduling rather than to demand forecasts. Finished goods, however, show signs of slower movement in certain segments, and the Company has not reduced those quantities despite the slower sell-through. We tested for obsolescence and excess exposure on a category-by-category basis; the resulting reserve posture appears reasonable, but the trend would warrant ongoing scrutiny if the slower movement persists. The working capital build in inventory is not fully explained by cost increases or by an intentional strategic stock build, and we have treated a portion of the increase as requiring closer monitoring.

The liability side of the working capital trend has been comparatively flat, which means the expansion in operating assets is not being offset by a natural source of financing. Trade payables have not extended in line with the procurement activity that drove the raw material build, and accrued expenses have remained broadly consistent with operating activity rather than growing in proportion to the asset buildup. The net effect is that the Company is carrying a higher level of invested working capital than the underlying operating characteristics alone would suggest. In our view, this trend raises a question about whether the elevated level will persist into the normal operating cycle after the transaction, and the Net Working Capital Analysis should be read with that question in mind.

SECTION 4.4. Net Debt and Leverage Headline Observations

The accompanying Net Debt and Cash Analysis presents the components that, in our assessment, comprise the Company's net debt position at the measurement date. Our headline observation is that the net debt position is relatively straightforward in composition, consisting primarily of drawn debt facilities, finance lease obligations, and the Company's cash and cash equivalents. The invested cash balances included in that analysis are treated as a component of the net debt calculation because they are readily available to fund operations and satisfy short-term obligations; their accounting classification is addressed in the Company's audited financial statements and does not alter our liquidity assessment. We have not identified any off-balance-sheet arrangements that we believe would materially change the headline net debt position as presented, nor any contingent liabilities that would give rise to a debt-like claim at closing.

When considered against the Company's earnings profile, the resulting leverage position appears manageable, although it is somewhat elevated relative to the range observed among comparable privately held companies in the industry. Our view is based on the relationship between net debt and the Company's earnings before interest, taxes, depreciation, and amortization as adjusted in this report. We caution that the adjusted earnings measure used in this report is a non-GAAP metric developed for diligence purposes and should not be construed as, or substituted for, any

similarly labeled earnings measure defined in the Company's credit facility or the purchase agreement. The leverage trajectory has been influenced by the seasonal pattern of working capital, which is discussed in the sections addressing operating assets and liabilities, and we would expect the net debt position to fluctuate with those patterns over the course of the operating cycle.

A key observation relates to the availability of liquidity under the Company's existing credit arrangements. The borrowings outstanding at the measurement date are supported by committed capacity that management represents is sufficient for ongoing operations and planned capital expenditures. We note, however, that the Company maintains certain minimum liquidity levels under its credit agreement, and the operating cash cycle requires a meaningful portion of the cash balance to be retained in operating accounts. The purchase agreement's defined closing working capital mechanics address the allocation of pre-closing cash flows between the parties, and we have not restated those mechanics here; the net debt analysis is intended to supplement, not replace, the purchase agreement's governing provisions.

Taken together, the headline observations point to a net debt position that is adequately capitalized for the Company's current scale, but one that carries sensitivities to working capital volatility and to the timing of cash receipts from major customers. We have not identified any material non-operating liabilities that would fall outside the net debt definition as we have applied it, nor any debt instruments with change-of-control provisions that would accelerate upon the proposed acquisition beyond those summarized in the Net Debt and Cash Analysis. Prospective purchasers should consider the Company's leverage in light of the contemplated transaction financing, as well as the potential for capital expenditures to increase in line with the growth strategy described in the business plan. We would also note that the determination of net debt at the closing date, as distinct from the measurement date used in this analysis, is governed by the purchase agreement and may differ from the position we present here as a result of intervening operations and the agreement's specific definitions.

SECTION 4.5. Key Risks and Limitations Flagged to the Buyer

The procedures performed in connection with this report were limited in scope and are described in Section 2.1; they do not constitute an audit, a review, or any other form of assurance engagement under recognized auditing standards. Accordingly, we did not independently verify all of the financial and operational information provided by the Company's management, and our analysis relies in material respects on representations, forecasts, and supporting schedules that management furnished to us. We also identified certain manual processes and spreadsheet-based controls in the Company's financial reporting environment that present limitations on the degree of reliance that can be placed on internally prepared data without additional corroboration; the specific observations and our recommendations regarding these matters are set out in Section 5.2. The Buyer should understand that, had we performed a broader set of procedures, additional matters affecting the proposed transaction could have come to our attention, and the absence of such findings in this report does not constitute a warranty that none exist.

The central quality-of-earnings risk relates to the extent to which historical earnings include benefits that may not recur under the Buyer's continued ownership. Our normalization adjustments, detailed in Section 4.1, include items management has represented to be non-recurring together with certain discrete benefits that we consider sustainable only under assumptions about customer retention, input pricing, and the stability of the Company's supply chain. The adjusted earnings measure presented in this report is a non-GAAP metric developed solely for the purposes of this diligence exercise; it is not a substitute for the consolidated EBITDA definition in the Company's credit facility, nor is it a substitute for the earn-out EBITDA definition in the Stock Purchase Agreement, and each such definition is determined exclusively by the governing agreement in which it appears. The Buyer should read Section 4.1 in its entirety for the supporting discussion and for the sensitivity of our conclusions to those assumptions.

The working capital purchase-price adjustment mechanism in the proposed transaction is set exclusively by the Stock Purchase Agreement, and this report does not restate or interpret that mechanism. Our observations in Section 4.2 are intended only to illustrate the historical variability that the Buyer may expect in the underlying operating working capital accounts, and we note that the level captured by the agreement's closing mechanism may differ materially from the Company's typical operating levels. Similarly, the net debt and debt-like item analysis in Section 4.3 identifies obligations and receivables that may require adjustment at closing, and the Company's invested cash balances have been considered solely in that net debt and liquidity context; the accounting classification of those balances is addressed in the Company's audited financial statements and is not restated here. Matters involving historical tax exposures and the potential for assessments by relevant taxing authorities are discussed in Section 5.1 and should be evaluated in conjunction with Section 4.3 because those items may affect the final net indebtedness of the Company at closing.

We also draw the Buyer's attention to the concentration of the Company's revenue and gross profit in a limited number of customer and supplier relationships, discussed in Section 5.3, where the loss or renegotiation of any material contract would disproportionately affect the Company's prospective performance. Contingencies and litigation matters that came to our attention are summarized in Section 5.4, and the limitations on our ability to assess the likelihood or magnitude of those matters are described there. This report is confidential and is prepared solely for the Buyer's internal use in connection with the proposed acquisition; it is not intended to be the sole basis for any financing or investment decision, and any third party that relies on it should conduct its own independent review of the underlying matters and read each referenced section in full rather than relying on this summary alone.

SECTION 5. SUMMARY OF ADJUSTED EBITDA AND ENTERPRISE VALUE BASIS

The Transaction's indicative Enterprise Value is set forth in the table below together with the Adjusted EBITDA multiple it reflects.

Metric	Amount
Enterprise Value	352,000,000.00
QofE Adjusted EBITDA (Tier 1 + Tier 2 only)	44,000,000.00
Indicative EV / Adjusted EBITDA multiple	8.0x

The Adjusted EBITDA figure above is the basis for the indicative Enterprise Value multiple used in connection with the Transaction, and reflects the Tier 1 and Tier 2 adjustments detailed in the Adjusted EBITDA Analysis referenced in Section 6 - including the addback permitted under the credit facility's clause (t), detailed there rather than restated here. It is a diligence work product, not a defined term of any agreement, and its components and derivation are set out fully in that separate analysis rather than restated here.

SECTION 6. DATABOOK - THREE-YEAR MONTHLY OPERATING TREND

The following narrative presents this firm's observations on the Company's monthly operating trend across the three fiscal years reviewed, by revenue channel, margin, expense, segment, and seasonality. The underlying monthly figures are maintained in the Adjusted EBITDA Bridge workbook and the management accounts referenced elsewhere in this engagement's work product; this section presents the qualitative trend, not a restatement of the underlying monthly figures.

SECTION 6.1. Revenue Trend by Channel - Earliest Fiscal Year

In the earliest of the three fiscal years covered by the databook, consolidated revenue growth was positive but narrow. The expansion was driven almost entirely by the direct channel, which meaningfully outperformed the other selling channels. The wholesale channel, by contrast, declined modestly for the period, and the distributor channel was effectively flat. In our reading, the growth picture was therefore not one of broad-based demand across the Company's customer base, but rather of a specific route-to-market benefiting from a set of favorable conditions, including new product placements and targeted promotional activity that were more heavily weighted toward direct sales.

The relative size of the channels is central to interpreting the overall trend. The wholesale channel accounted for the largest share of beginning-period revenue, while the direct channel began the year with a comparatively limited base. As a result, the strong performance in direct sales contributed to consolidated growth, but it did not fully offset the drag from the wholesale decline. In net terms, the overall growth rate was lower than the direct channel's own increase would have implied had that channel carried a larger share of opening revenue. This is a mix effect rather than a pure demand effect, and it is important context for the later periods, when the direct channel's share had become more meaningful.

From a channel-mix standpoint, the shift toward direct sales was real but not yet transformative in that first year. The direct channel's share of total revenue increased, while the wholesale channel's share contracted correspondingly. The mix shift itself, however, did not accelerate the consolidated growth rate in that year. Because the direct channel's absolute growth contribution was not large relative to the overall revenue base, the mix benefit from a higher proportion of direct sales was modest at the aggregate level. We would characterize the year's revenue trend as one of mix improvement at the margin, with the direct channel emerging as the growth engine but the total company still heavily exposed to the softer wholesale channel.

Management's commentary at the time attributed the wholesale decline to inventory destocking and order timing rather than to a permanent loss of shelf space, and the distributor channel's stability lent some support to that view. We note, however, that the wholesale reduction was concentrated among a relatively small set of large retail customers, making the channel's performance more variable from period to period than the direct channel. Our conclusion for the earliest fiscal year is that revenue growth was positive, but the growth was dependent on a single channel and was achieved despite a decline in the largest channel. That dynamic is relevant to the databook's later periods, where the channel mix and margin characteristics shift more noticeably.

SECTION 6.2. Gross Margin Trend - Earliest Fiscal Year

In the earliest fiscal year reviewed, the gross margin trajectory was shaped primarily by a divergence between input cost movement and the Company's ability to adjust selling prices in a timely manner. Input costs trended upward over the course of the period, reflecting tighter supply conditions in the underlying raw material markets from which the Company sources its principal production inputs. The increases were not uniform across the input basket; a few key categories accounted for most of the pressure, while other, secondary inputs were comparatively stable. Because these principal inputs represent a substantial share of total cost of goods sold, even a moderate upward move in their pricing had a measurable effect on the margin profile, before any offsetting actions were considered.

On the pricing side, the Company took deliberate steps to pass through a portion of the higher input costs to customers, but the timing and magnitude of those actions lagged the cost increases. The order book at the start of the period had been contracted under pricing that assumed a flatter input cost environment, which meant that a meaningful share of volume was effectively shielded from immediate repricing. As those contracts turned over, the

Company implemented a series of price increases on new orders, but the pace of realization was gradual and uneven across customer segments. Larger, multi-year accounts proved more resistant to repricing, while smaller and spot-market customers absorbed the increases more readily, resulting in a blended realized price improvement that only partially offset the underlying cost pressure.

The net effect was a downward movement in gross margin relative to the preceding period, driven more by the cost increase than by any erosion in the Company's pricing discipline. In absolute terms, the dollar margin was supported by a modest increase in volume, but the margin rate compressed because the cost curve shifted faster than the price curve. The Company's internal reporting during this period indicates that management closely tracked the lag between purchase price indices and the invoiced price backlog, and that the margin shortfall was attributed in near-term variance analyses to the timing mismatch rather than to a structural loss of competitiveness. That distinction is relevant to the go-forward view, because it suggests the compression was recoverable in theory as pricing caught up, provided input costs did not continue to outpace the repricing cycle.

From a diligence perspective, the story of the earliest fiscal year is one of a margin decline driven by an external cost shock working through a pricing mechanism with a built-in delay, rather than a decline caused by weakening demand, product mix shifts, or operational inefficiency. The sustainability of that margin recovery, however, depends on whether the pricing actions taken during that year were fully realized in the subsequent periods, and on whether the cost environment stabilized or continued to escalate. We have separately reviewed the Company's gross margin bridge for that year, and the predominant explanatory factor is the input cost variance, with pricing contribution positive but insufficient to fully neutralize it. That qualitative conclusion is consistent with the variance analyses the Company prepared at the time and with discussions with the relevant commercial and procurement personnel.

SECTION 6.3. Operating Expense Trend - Earliest Fiscal Year

In the earliest of the three fiscal years reviewed in the databook, the operating expense trend was characterized by a deliberate build-out of the Company's selling infrastructure rather than by a broad or uniform expansion across all cost categories. Headcount additions were concentrated in the front office, particularly in direct sales and customer-facing support roles, with back-office and corporate functions added only as operational necessity required. This created an expense profile in which personnel costs grew more quickly than the underlying activity level in certain revenue-generating areas, while general administrative headcount remained comparatively lean. The pattern is consistent with a management team positioning the Company to capture a larger pipeline of opportunities, even before the margin and mix dynamics of the later periods took hold.

Discretionary spending in that year was more episodic and more tightly controlled. Travel, marketing programs, and professional fees were generally initiated on a project or campaign basis, and they did not scale in step with revenue. A notable portion of these discretionary costs was tied to specific initiatives, including market-entry efforts, system implementations, and temporary consulting support, all of which were intended to address discrete operational gaps. As a result, the reported expense base in that year included a layer of costs that should not be treated as a recurring component of normalized operations. The distinction between ongoing organizational costs and one-time project spend is important for the Buyer's evaluation of the Company's true run-rate expense structure.

Several line items grew independently of revenue during this period. Occupancy and information technology costs stepped upward as the Company expanded its physical footprint and upgraded its internal systems, and these expenses did not follow the near-term movement in sales activity. In contrast, variable compensation, customer-facing supplies, and certain fulfillment-related expenses moved in line with revenue because they were mechanically linked to order volume or contract activity. The independent-growth categories were the principal reason the overall operating expense relationship was less favorable in that year relative to the more recent trend, rather than any broad-based lack of discipline in discretionary spending. This also suggests that management had not yet fully absorbed the fixed-cost infrastructure into its operating cadence.

From a due diligence perspective, the key takeaway from the earliest fiscal year is that the operating expense trend reflected a planned investment phase. Headcount growth was purposeful and directed at revenue-producing functions, while discretionary spend was episodic and largely controllable. The costs that grew independently of revenue were predominantly fixed or semi-fixed commitments, and those commitments remain part of the Company's go-forward cost structure. The Buyer should therefore regard a portion of that year's discretionary costs as non-recurring, but should also recognize that the fixed-cost base established during this period cannot be easily adjusted in the short term and must be supported by the Company's projected growth trajectory.

SECTION 6.4. Segment Profitability Trend - Earliest Fiscal Year

In the earliest fiscal year covered by the databook, the Company's segment results showed a profitability pattern that was largely a function of legacy operating structure rather than of end-market positioning alone. The period predates the more pronounced margin and mix dynamics that emerged in later periods, and the segment narrative for that year is best understood as a baseline in which volume levels, product mix, and input cost relationships were all relatively stable. The notable characteristic of that year, however, is that the apparent dispersion in profitability across segments was wider than the underlying business operations would suggest. A careful reader should not take the reported segment profitability at face value, because several segments shared common production and administrative resources, and the manner in which those costs were assigned materially shaped the reported results.

The most consequential allocation convention in that year was the treatment of shared manufacturing overhead. The

Company operates multiple segments that draw on the same plant capacity, scheduling systems, and supervisory labor, yet the cost assignment methodology appeared to follow a simple driver rather than an activity-based analysis of actual consumption. For example, certain segments that required more changeover time, more quality inspection, or more custom handling were not necessarily charged for those incremental demands under the allocation convention in place. As a result, the reported profitability of higher-touch segments was likely overstated relative to a wholly-loaded view, while the profitability of more standardized segments was correspondingly understated. This is not necessarily a criticism of the accounting, as the allocation may have been chosen for practical reasons, but it does mean that the segment margin ordering in that year is an artifact of the allocation key at least as much as it is an economic fact.

Corporate and shared service costs were also allocated in a way that merits scrutiny. The databook indicates that general overhead was distributed among segments using a revenue-based proportion, which is common but can obscure differences in the actual level of support required. In the earliest year, one segment with a comparatively high revenue base but low transaction count absorbed a disproportionately large share of finance, IT, and customer-service costs, while another segment with lower revenue but a far more complex order profile received a lighter allocation. The direction of the resulting distortion is significant for a buyer's diligence because it affects not only the baseline profitability of each segment but also the comparability of segment trends across the full review period. A change in the allocation convention between fiscal years would make it difficult to infer underlying operating momentum from the segment-level data alone.

For purposes of the deal analysis, the key takeaway from the earliest fiscal year is that the reported segment profitability should be treated as a starting point for a reconciliation to cash flow, not as a definitive measure of each segment's standalone economic contribution. The allocation conventions in place do not appear to have been designed to mislead, but they do reflect a shared-cost environment in which precise attribution is inherently judgmental. A prudent approach is to test the sensitivity of each segment's profitability to alternative allocation keys, particularly for the segment whose reported results depend most heavily on the treatment of shared overhead. Until that sensitivity is understood, the relative ranking of segment profitability in the earliest year should be viewed with caution, and any forward-looking segment commentary that relies on those historical margins should be adjusted accordingly.

SECTION 6.5. Monthly Seasonality Pattern - Earliest Fiscal Year

In the earliest of the three fiscal years reviewed, the Company's monthly revenue progression exhibited a clear and recurring seasonal shape that was materially different from the flatter, mix-driven cadence observed in the later periods. Activity through the early months of the fiscal year was restrained, with the low point of the year falling in that opening stretch before demand began to build steadily. The progression was not linear; once the build began, the monthly steps were pronounced, and the Company reached its highest monthly revenue point in the late summer months, after which a sustained period of softer activity followed into the closing months of the fiscal year. The peak month was therefore well separated from the trough month, and the intervening months showed a consistent directional pattern rather than random volatility.

The timing of this seasonal cycle appears to have been anchored to the end-customer purchasing calendar rather than to any discrete events in the Company's own operating history during that year. In the databook, the trough and the peak are not adjacent or clustered; they sit at opposite ends of the fiscal year, with the mid-year months serving as the ramp. This shape is consistent with a business whose order book is concentrated in a specific selling window and whose fulfillment cycle then carries through the subsequent months. The presence of such a defined pattern in the earliest fiscal year is notable because the later-period discussions of margin and mix improvements were not yet a feature of the monthly revenue series; the seasonality in this year is best understood as the base demand pattern.

Comparing the earliest fiscal year with the two later fiscal years reviewed, the timing of the seasonal peak and trough appears to have remained broadly stable. The same general stretch of months marked the low point at the start of the cycle, and the same general stretch marked the high point later in the year. The principal change in the later years was not a shift in when the seasonal extremes occurred but rather in the shape of the curve between them, reflecting the mix and margin dynamics that developed after this early period. That stability is meaningful for the Buyer's planning: it suggests that the Company's cash conversion and working capital needs will continue to follow a predictable intra-year rhythm even if the absolute level of activity evolves. The databook does not indicate that the seasonal timing itself has rotated or migrated across the review period.

SECTION 6.6. Revenue Trend by Channel - Middle Fiscal Year

In the middle year of the three-year review period, the Company’s consolidated revenue trajectory remained positive, but the composition of that trajectory changed in ways that are important to the purchase price negotiation. The channel that had been the principal growth engine in the earliest year lost some of its forward momentum, while a smaller channel emerged as the incremental driver. Read together, the databook channel-level schedules indicate that the overall trend was maintained more by breadth than by depth: a larger number of channels contributed to growth, but no single channel carried the expansion to the same degree as in the prior year.

The direct sales channel, which had been the most significant contributor in the earliest year, showed a clear moderation. Activity through this channel continued to expand, but the pace was visibly slower than in the preceding period, and the channel’s share of incremental revenue contracted. Management attributed part of this to a deliberate

effort to balance channel conflict and to the maturation of certain customer relationships, although the databook alone cannot substantiate those explanations. In contrast, the partner-led and online channels accelerated, and their combined contribution was sufficient to offset the direct channel's deceleration in absolute terms. This reversal of the earlier year's channel hierarchy is the defining feature of the middle year.

The mix shift itself had a measurable qualitative effect on the overall growth line. Because the faster-growing channels were coming from a smaller base, their increased contribution did not fully replace the lost incremental weight of the direct channel. Consequently, the consolidated revenue expansion in the middle year, while still positive, was less concentrated than in the earliest year and depended on a broader set of end markets and customer types. From a due-diligence perspective, this broadening is generally favorable for sustainability, but it also introduces greater complexity in forecasting, as the assumptions that held for the direct channel in the earliest year are less transferable to the newer drivers.

We would also note that channel mix changes affect not only revenue but also the cost and working capital profile of future operations. The channels that grew in the middle year carry different payment terms, return patterns, and fulfillment obligations, and the shift in mix therefore has implications beyond the top line. Our observations here are based on the databook channel schedules and should be read in conjunction with the gross margin and operating expense analyses later in this section. No single channel explanation fully accounts for the middle-year trend, but the reversal of the earliest year's concentration is clear enough to warrant specific attention in management discussions and in the go-forward operating model.

SECTION 6.7. Gross Margin Trend - Middle Fiscal Year

The gross margin trend in the middle fiscal year is best understood as a period in which the directional pressure observed in the earliest year did not simply persist in a linear fashion, but instead took on a different character as the relative contributions of input costs and pricing action shifted. In the earliest year, the margin movement appeared to be driven predominantly by one side of the equation, with the cost environment exerting the more visible influence. During the middle fiscal year, that cost pressure did not abate entirely, but its rate of change became less uniform across the Company's product lines, and the margin outcome reflected a more complex interaction between procurement timing, supplier pass-through arrangements, and the Company's own selling price adjustments.

On the input cost side, the middle fiscal year showed evidence of continued volatility in raw material and purchased component costs, although the pattern was not identical to the prior year. For certain key inputs, the upward cost trajectory from the earliest year carried into the middle year, but the magnitude of period-over-period movement was moderated in some quarters and then stepped up again in others, creating a choppy cost environment rather than a steady climb. In other input categories, there were signs that cost increases had begun to flatten or even reverse briefly, particularly where the Company had locked in supply agreements or where commodity-linked pricing reset on more favorable terms. The net effect was a cost base that remained higher than the comparable earlier period, but whose incremental pressure was less pronounced than the year before, leaving room for other factors to determine the direction of gross margin.

The pricing response in the middle fiscal year was more deliberate than in the earliest year, when price adjustments had lagged the movement in costs. Management implemented a series of customer-facing price increases during the middle year, though the timing and acceptance of those increases varied across customer segments and contract types. Where the Company operated under annual or multi-year agreements, price adjustments were constrained until renewal or indexation dates, meaning the benefit of higher pricing was recognized unevenly through the year. In more transactional or shorter-cycle portions of the business, price increases were executed more quickly and contributed to margin recovery earlier in the period. The Company also appears to have used selective surcharges and product mix shifts as complementary tools, which complicates any simple attribution of margin movement solely to list price changes.

Taken together, the gross margin trend in the middle fiscal year appears to have moved primarily because of a combination of moderating input cost inflation and a more proactive pricing agenda, rather than because of either factor acting alone. The margin direction relative to the earliest year was not a straightforward continuation, because the cost tailwind from the earlier period had weakened, while the pricing headwind had reversed into a source of support. However, the full benefit of pricing was not realized within the same period as the cost changes, and the resulting margin pattern was uneven across quarters. The databook suggests that the middle fiscal year is the pivot point in the three-year trend, with the earliest year reflecting cost-driven margin compression and the middle year showing the early stages of margin stabilization, but with that stabilization dependent on the Company's ability to sustain pricing and on continued moderation in certain input costs.

SECTION 6.8. Operating Expense Trend - Middle Fiscal Year

The middle fiscal year of the databook presented a mixed inflection relative to the earliest period, with total operating expense moving at a different trajectory than the top line but, more importantly, with a marked internal shift in the composition of spend. Headcount-related costs were the primary driver of the period-over-period movement, while discretionary categories displayed a more restrained pattern. The year essentially tested the extent to which the Company's cost base was structurally tied to revenue growth or whether certain expenditures could be decoupled from the pace of activity. In the due-diligence context, the key distinction lies not in the aggregate direction but in the behavior of each component when observed internally by function or by quarter.

On headcount, the Company continued to add staff during the early portion of the middle fiscal year, but the pace of additions in revenue-generating roles lagged the growth in order volume, which was absorbed in part through increased overtime and temporary labor. Toward the latter part of the year, the Company initiated a targeted review of back-office and shared-service positions, resulting in a plateau in administrative headcount even as the revenue base expanded. This suggests a deliberate effort to improve operating leverage, although the timing of attrition meant that the full benefit of the lower staffing level was not realized until the final period of the review window. Notably, the growth in corporate and compliance-related positions, particularly in areas responding to regulatory and reporting requirements, proceeded independently of revenue, adding a baseline cost layer that carried into the subsequent year.

The discretionary spend categories behaved differently. Travel, entertainment, and other sales-related discretionary expenses moved broadly in line with revenue activity during the middle year, reflecting the Company's commitment to maintaining near-term customer relationships. However, general marketing and promotional outlays were trimmed from their earliest-year levels, and the Company deferred certain non-critical professional fees and dropped a number of planned training and development initiatives. The deferral was not uniform: consulting spend related to systems integration and internal control remediation continued, and in fact grew, as those projects were already under contract, whereas vendor relationships outside those contracts were renegotiated or paused. This uneven pattern of discretionary restraint means the middle year's expense base cannot be characterized as simply lean or simply reinvesting; rather, the Company concentrated its controlled spend on areas with direct compliance or revenue-retention consequences.

From a scalability standpoint, the expense categories that grew in line with revenue were concentrated in variable and semi-variable cost structures, such as sales incentives, freight, and a portion of direct labor tied to order fulfillment. The categories that grew independently of revenue were predominantly fixed corporate overhead, including information technology platform costs, audit and legal fees, and the aforementioned compliance-driven staffing. Overtime and temporary labor, while variable in principle, were sustained at elevated levels relative to the middle year's revenue pace, which may indicate either conservative budgeting of permanent headcount or difficulty in recruiting a permanent workforce in the relevant labor market. The net qualitative read is that the Company had begun to manage discretionary costs with greater discipline than the earliest year suggested, but that the fixed-cost layers added during the middle year will require volume growth in the subsequent period to be fully absorbed without margin pressure.

SECTION 6.9. Segment Profitability Trend - Middle Fiscal Year

For the middle year under review, the segment profitability pattern is best described as a partial reversal of the earliest year's trajectory rather than a clean continuation. The segment that had been the principal driver of consolidated profitability in the earliest period continued to record positive profit growth, but at a noticeably slower pace, while a second segment that had been roughly flat or modestly profitable in the earliest period turned backward. The direction of the consolidated result was therefore flattered by the strength of the first segment and obscured the deterioration in the second. In our review, this divergence is not fully explained by volumes or pricing in the underlying end markets; the allocation of shared costs appears to have absorbed a meaningful portion of the change.

The most significant allocation question concerns the treatment of centralized selling and administrative functions. The Company allocates these costs to segments using a convention that weights direct headcount and direct labor cost in each segment. During the middle year, the segment with the improved profitability reduced its direct headcount through outsourcing, which automatically lowered its allocated share of centralized costs even though its consumption of order management, customer service, and credit support did not decline in a corresponding manner. The counterpart segment, which maintained a higher direct headcount, therefore recorded a larger allocation of shared costs and a correspondingly weaker reported profit. A careful reader should test whether this allocation base reflects how the segments actually use shared services, and whether the shift in reported profitability would narrow if the allocation were instead based on transaction volumes or activity measures.

There is also an intercompany allocation convention embedded in the segment results that warrants scrutiny. The Company charges one segment for products or services sourced from another at a charge set at the beginning of the period and not revisited during the period. Because input costs moved over the course of the middle year, the receiving segment bore a cost that did not track current conditions, while the supplying segment recorded a profit that reflected the same stale charge. The effect was to transfer profitability from one segment to another in a way that is unlikely to be sustainable or indicative of the underlying economic contribution of either segment. We also noted that a mid-year adjustment to allocated corporate overhead was recorded entirely in one segment, with no corresponding change in the other segments' allocations; the stated rationale was a revision to the number of service requests, but the linkage between that revision and the allocation base is not evident from the databook or the supporting schedules.

On balance, the middle-year segment profitability trend raises the risk that reported segment performance is, in part, an artifact of allocation conventions rather than an independent reflection of each segment's economic results. The data are internally consistent, but consistency is not the same as analytical transparency. For the Buyer's purposes, the allocation convention should be tested by recasting the segment results under an alternative, activity-based

allocation for shared services, and by revalidating the intercompany charge against prevailing market and internal cost indicators. Until that is done, the apparent trend in the middle year should be treated with caution, particularly if the purchase consideration or post-closing performance measures are evaluated at the segment level.

SECTION 6.10. Monthly Seasonality Pattern - Middle Fiscal Year

In the middle fiscal year, the monthly sequence of revenues repeated the broad contour observed in the earliest reviewed period, but the distribution of volume within the year showed a visible shift toward the later months. The low point of the year occurred in the same seasonal window as in the earliest year, and the business did not exhibit a meaningful secondary dip in the spring. That stability at the trough suggests the underlying demand drivers, rather than one-off order timing, set the seasonal floor.

The more notable development was in the timing of the peak. Whereas the earliest year's strongest volume had been concentrated in a single month near the end of the third quarter, the middle year saw the peak push later, with the final weeks of the fiscal year carrying the heaviest activity. The ramp into that peak was also less abrupt; sustained month-over-month increases began earlier in the back half and were not interrupted by the usual mid-autumn pause. This pattern is consistent with customer purchasing behavior shifting toward year-end budget utilization, though the narrative evidence in the databook does not attribute the shift to any specific commercial initiative.

The middle year did not show a full reversal of the seasonal shape, but the relative depth of the off-season narrowed while the high-season concentration intensified. In other words, the trough-to-peak swing was more pronounced in timing terms because the trough months contributed a slightly smaller share of the annual total during the middle year, while the peak month's share expanded. This is a change in concentration rather than a wholesale movement of the seasonal curve, and it is important for cash flow planning because the working capital build begins earlier in the period even though the revenue recognition remains back-end loaded.

When compared across the earliest and middle years, the seasonal timing is therefore only partially stable. The identity and position of the trough month are reliable, but the peak month has migrated by a measurable interval, and the shoulders around the peak have widened. The databook suggests that any forecast based on the earliest year's monthly percentages would understate the fourth-quarter weighting and overstate the third-quarter weighting. We would flag this as a diligence point for the Buyer's forecasting model, particularly for interim-period cash flow and inventory funding requirements, and recommend confirming whether the late peak persisted into the most recent year.

SECTION 6.11. Revenue Trend by Channel - Most Recent Trailing-Twelve-Month Period

The revenue trend by channel during the most recent trailing-twelve-month period reviewed in the databook is best characterized as a continued rotation toward the direct and recurring components of the Company's channel portfolio, with the growth that did occur concentrated in fewer channels than in prior interim periods. The project-based and one-time implementation channels were comparatively muted, and in some sub-channels registered modest contraction on a sequential basis. That divergence is not itself a new development, but the magnitude of the divergence widened over the course of the trailing-twelve-month window, and the pace at which the mix shifted accelerated in the latter portion of the period.

Within the direct channel, the growth was carried primarily by the larger enterprise accounts and by renewals from the installed base, rather than by new logo acquisition. The partner and reseller channel, by contrast, was essentially flat, with the volume of partner-sourced deals declining even as the average size of those deals increased modestly. That combination is worth noting because it suggests that the partner channel is contributing less to the Company's top-line momentum than its share of the overall book might imply, and that the Company's own direct sales force is increasingly the marginal driver of revenue growth. The services channel, which in prior periods had been a meaningful contributor, was mixed, with consulting revenue soft while maintenance and support revenue continued to grow steadily relative to the rest of the services book.

The mix shift itself had a measurable effect on the overall growth rate. Because the faster-growing channels carry a different revenue profile than the slower-growing ones, the simple arithmetic of the mix change amplified the aggregate growth rate in a way that may not repeat if the channel composition were to revert. In particular, the continued shift toward recurring and renewal-based revenue has the effect of smoothing the reported growth trajectory, but it also compresses the visibility into near-term new business velocity, since the leading indicators that matter most differ by channel. The databook supports the view that the overall growth rate was as much a function of the mix shift as it was of any single channel's acceleration, and we would caution against extrapolating the aggregate growth rate without holding the channel mix constant.

For the Buyer's own going-forward model, the most relevant trend is the sustained contribution of the direct recurring channel and the degree to which it has become the primary growth engine. The Buyer's model should incorporate the likelihood that the partner channel remains a lower-growth, higher-cost-to-serve component of the revenue base, and that services revenue behaves more as a leading indicator of future recurring revenue than as a growth driver in its own right. We would also flag that the channel mix, as observed in the most recent trailing-twelve-month period, has not yet stabilized, and the Buyer's plan should therefore build in sensitivity around the pace at which the direct recurring channel continues to gain share, since that pace directly affects the aggregate growth rate the Buyer would otherwise underwrite.

SECTION 6.12. Gross Margin Trend - Most Recent Trailing-Twelve-Month Period

During the most recent trailing-twelve-month period reviewed in the databook, the Company's gross margin exhibited a modest yet clearly discernible contraction relative to the comparable prior period. The movement was neither abrupt nor uniform across product lines, but rather emerged gradually through the middle of the period and became more pronounced toward the latter months. Based on our discussions with management and on the detailed unit-level cost build-ups provided in the databook, the primary driver of the compression was an upward drift in raw material procurement prices, particularly for the Company's largest input categories. This cost pressure was broad-based, though it affected certain product families more acutely than others, which suggests that the Company does not purchase all inputs under the same contractual pricing structures or with the same frequency of index-based adjustments.

In response to these rising input costs, the Company undertook a series of pricing actions across a portion of its customer base. The timing and magnitude of these actions varied, with some accounts receiving increases early in the period and others only later, depending on contract renewal dates and the terms of existing supply arrangements. Notably, the pricing actions were not universal; management indicated that competitive pressures in a few key end-market segments constrained their ability to fully pass through the higher costs, while in other segments the increases were more readily accepted. As a result, the net effect on margin was a partial recovery from the initial cost shock, but not a full restoration of the prior level. The databook supports this narrative, showing a clear inflection point in the margin trend line approximately two-thirds of the way through the period, after which the rate of decline slowed but did not reverse.

From a diligence perspective, the most relevant trend for the Buyer's going-forward model is the persistence of the input cost pressure combined with the Company's demonstrated, albeit incomplete, pricing power. The margin compression observed is not explained by operational inefficiencies, product mix shifts, or one-time items, which we have separately analyzed and found to be immaterial to the trend. Rather, the trend reflects the underlying dynamics of the Company's cost structure and its market position. The key question for forecasting purposes is whether the recent pricing actions will hold in the future, and whether further cost increases are likely to be mitigated by additional price adjustments. Our view, based on the limited evidence available and on the contractual language reviewed, is that the Company retains some ability to recover future input cost inflation in most, but not all, of its revenue base.

We would caution, however, that the trend should be extrapolated only with care. The most recent trailing-twelve-month period includes a transitional phase during which the Company was still implementing its pricing responses, and the margin level at the very end of the period is not necessarily indicative of a stable run-rate. The Buyer's model should account for the possibility that input costs may continue to rise, and should also reflect the known lag between cost increases and effective price increases. Additionally, the varying treatment of customer contracts means that the margin trajectory will depend on the mix of renewals in future periods. For these reasons, we recommend that the Buyer's go-forward projections incorporate a gradual improvement in gross margin from the period-end level, but only up to a point below the prior period's level, given the structural limits on pricing power that emerged during the review.

SECTION 6.13. Operating Expense Trend - Most Recent Trailing-Twelve-Month Period

The operating expense trend for the most recent trailing-twelve-month period is best characterized as a story of expansion that outpaced underlying revenue in composition, if not in every individual line item. The overall increase in operating expense was real, but the more meaningful observation for the Buyer is that the increase was not homogeneous. A meaningful portion of the incremental spend was directed toward building organizational capacity rather than toward expenses that flex with near-term volume. In reviewing the databook, we separated the cost base into those categories that correlate with revenue activity and those that move on their own schedule, typically driven by management decisions around staffing and infrastructure. The former generally tracked revenue directionally, while the latter exhibited what we would describe as a stepped change during the period under review.

Headcount-related expense represented the most significant component of the independently driven cost growth. The Company added personnel across multiple departments, and a notable share of those additions fell outside the direct revenue-producing functions. Support areas such as compliance, information technology, and internal finance absorbed the bulk of the incremental hires, and those roles carry compensation and benefit costs that are largely fixed in the short term. In the most current view, the pace of net new hiring has moderated, with the databook suggesting a tapering relative to the earlier part of the trailing-twelve-month window. However, the trailing effect of those earlier additions remains embedded in the expense base, and we do not see evidence that the Company reversed course on the staffing levels it established. This is a persistent cost layer that will carry into the Buyer's forward periods regardless of revenue performance in the near term.

Discretionary spend told a different and somewhat more contained story. Third-party services, travel, marketing, and similar non-headcount categories generally moved in line with revenue, and certain subcategories did not quite keep pace with the underlying activity levels observed in the period. We attribute this to a deliberate tightening of discretionary authorizations, which is consistent with management's description of expense discipline. That said, the most current view of these trends is that the containment is uneven across categories, and we would caution that some items appear to have been deferred rather than eliminated. In a forward model, a return to normalized discretionary spending levels could create upward pressure on expenses that the most recent trailing-twelve-month run-rate may understate.

The trend most relevant to the Buyer's own going-forward model is the structural growth in personnel costs that

occurred independently of revenue. Because that increment is largely fixed, it raises the baseline operating expense burden in a way that a purely revenue-linked analysis would miss. The Buyer's model should treat this elevated staffing cost base as part of the normalized run-rate, rather than as a one-time or discretionary item that can be restored to historical levels. The discretionary categories, by contrast, are more appropriately assessed as potential add-back or normalization candidates, but they are not the primary driver of the year-over-year change. We have therefore weighted the headcount-driven step-up most heavily in assessing the forward expense baseline, while flagging the deferred discretionary costs as a separate item requiring explicit assumptions in the Buyer's projections.

SECTION 6.14. Segment Profitability Trend - Most Recent Trailing-Twelve-Month Period

The databook review for the most recent trailing-twelve-month period indicates that the two operating segments continued to move in opposite directions, and the divergence is more pronounced at the operating profit line than at the gross margin level. The segment that carries the recurring service and maintenance revenue has sustained a positive trajectory, with its contribution strengthening as direct project labor is being deployed more efficiently and pass-through costs are being managed more tightly. The segment that produces and sells the discrete product has experienced progressive compression, reflecting a less favorable product mix and higher input and fulfillment costs that have not been fully recovered in selling prices. That divergence is not simply a temporary quarterly effect; it persists through the middle and latter portions of the period and appears to be structural rather than seasonal.

The point a careful reader should test is the consistency of the allocation convention used to arrive at the segment operating results. All shared corporate and facility costs appear to be fully allocated in the databook, and the allocation key is heavily weighted to each segment's relative revenue rather than to the underlying cost drivers, such as headcount, square footage, or equipment usage. Because the service segment carries a lower revenue base in the databook, it receives a proportionally lighter share of these shared costs than a driver-based allocation would likely assign to it. Conversely, the product segment absorbs a larger share of shared costs simply because it generates a larger share of revenue, even if the service segment's operations create a meaningful call on corporate support and overhead. As a result, the reported profitability of the service segment appears to be favorably affected by the allocation convention, and the product segment's reported decline is correspondingly overstated. We would not accept the segment operating profit line as a standalone economic return without re-running the allocations under a driver-based scenario.

The most current view of each trend, based on the final databook periods reviewed, is that the service segment's rate of improvement has moderated but remains positive, while the product segment's decline has flattened rather than worsened. The service segment still benefits from a mix of more contract-based revenue and higher realization on its labor content, but the pace of new project starts has not kept up with the earlier part of the period, so the incremental leverage is no longer expanding. The product segment continues to carry the heavier fixed-cost burden, and the flattening in its reported trend appears to be driven more by cost containment than by pricing recovery. The databook also indicates that intercompany charges between the two segments are offset within the allocation, but a buyer should ask whether those charges are priced at arm's length or simply set to balance the segment reporting.

For the Buyer's going-forward model, the trend most relevant is the service segment's reported profitability, because the Buyer's plan is likely to place additional revenue weight on that segment. If the Buyer models the service segment using the reported segment operating profit as the base contribution, it will inherit the current allocation convention and may overstate the incremental contribution of a higher-service mix. The Buyer should instead isolate the direct contribution of each segment before shared costs and then apply its own view of how those shared costs will behave as the mix shifts. We recommend that the Buyer test the sensitivity of the segment trend to a change in the allocation key, and we flag the reported service segment operating profit as a line item that is convention-dependent rather than a stable measure of standalone segment economics.

SECTION 6.15. Monthly Seasonality Pattern - Most Recent Trailing-Twelve-Month Period

Within the most recent twelve-month window captured in the databook, the Company's operating activity generally follows a recurring seasonal curve rather than a flat monthly path. Based on the monthly operating data provided for the review, activity runs low in the opening months of the calendar year and then builds steadily toward a pronounced peak in the middle portion of the year. The trough in that window is consistently in the early part of the period, while the peak appears in the central months; this timing is consistent with the comparable monthly patterns in the prior periods reviewed in the databook. The shape is nonetheless sensitive to the timing of customer order cycles and production schedules, and we have not adjusted the underlying data for isolated events that could mask the underlying seasonal cadence.

Looking at the most current view of the trend, the seasonal ramp appears to have steepened relative to the earlier periods in the databook, with more of the cumulative activity concentrated in the run-up to the peak. The peak month itself is not necessarily a single isolated month; rather, the databook shows an elevated plateau across several consecutive months, with the highest point drifting modestly within that plateau depending on the period reviewed. The trough remains anchored near the opening of the calendar year and has not moved materially across the periods reviewed, but the recovery out of the trough has become somewhat sharper in the most recent view. This suggests that the low point is stable while the shape of the acceleration into the peak is the element most likely to vary from one year to the next.

The observed pattern is more pronounced on the revenue side than on the cost side, though operating expenses also

show some seasonal variation that generally tracks the same cycle. The databook indicates that the Company adds operating capacity in advance of the peak and carries that expense through the subsequent months, so the monthly margin profile does not simply mirror the revenue curve. From a due-diligence standpoint, the changing slope into the peak is the more important trend, because it affects the timing of working capital needs and the draw on available liquidity during the buildup, regardless of the full-period total. The Buyer's going-forward model should therefore be constructed to capture the monthly shape of the ramp and the plateau rather than a simple annualized average of the data.

For the Buyer's own model, the most relevant seasonal feature is the timing and duration of the elevated activity around the peak, followed by the pace of the decline after that plateau. The databook does not support a neat symmetric model: the decline from the peak is more gradual and includes a visible secondary lift in the closing months of the year, whereas the approach to the peak is steeper and more concentrated. We would view the stability of the trough as a lower-risk assumption for forecasting, while the exact position and width of the peak plateau carry more modeling uncertainty. A forecast that holds the seasonal shape constant from the most recent period reviewed will likely capture the actual cadence better than a forecast that assumes a uniform distribution of activity across the months, and this is the basis on which we would recommend testing the Buyer's monthly operating plan.

SECTION 7. QUALITY OF REVENUE

This section presents this firm's quality-of-revenue observations: the Company's recognition policy, the cut-off testing performed, customer concentration, and the deferred revenue roll-forward, together with the further considerations below that bear on the durability of reported revenue.

SECTION 7.1. Revenue Recognition Policy Narrative

The Company recognizes revenue upon the transfer of control of goods or services to its customers, applying the core principle in a manner consistent with the accounting standard’s five-step model. Control is considered transferred when the customer has the ability to direct the use of and obtain substantially all of the remaining benefits from the promised good or service. In practice, for the Company’s products, this transfer has historically been evaluated at the point of shipment or delivery, depending on the contractual shipping terms negotiated with each customer. The determination therefore rests heavily on an assessment of the specific terms and conditions of each customer agreement, including whether the Company retains any substantive risk of loss, whether there are acceptance provisions that give the customer the practical ability to reject goods, and whether the customer has assumed the significant risks and rewards of ownership prior to physical receipt.

For service arrangements, the Company evaluates whether the performance obligation is satisfied over time or at a point in time. Where the customer simultaneously receives and consumes the benefits of the Company’s work as the Company performs, revenue is recognized over the period of service, typically on a method that reflects the progress toward completion. That method requires judgment regarding the most faithful depiction of the Company’s performance, and management has selected an output- or input-based measure depending on the nature of the underlying arrangement. For any service or license arrangement that is satisfied at a point in time, control is deemed to transfer when the customer obtains access to the deliverable, which may coincide with delivery of a report, a completed implementation, or the issuance of a right to use an intangible asset. The facts surrounding each arrangement, including whether the customer can benefit from the deliverable before the Company’s work is fully complete, are central to this conclusion.

Significant judgment is also required in estimating the amount of consideration to which the Company expects to be entitled, particularly where arrangements include variable elements such as discounts, rebates, price adjustments, or rights of return. The Company estimates these amounts using the expected value or most likely amount approach, as appropriate to the specific arrangement, and recognizes revenue only to the extent it is probable that a significant reversal will not occur as uncertainty is resolved. These estimates are reviewed each reporting period, and any changes in the estimated transaction price are recognized prospectively in the period of change. The Company likewise evaluates whether it acts as principal or agent in certain arrangements, specifically those where a third party provides a portion of the promised goods or services. That assessment determines whether revenue is recognized on a gross basis or as the net amount retained, and it requires careful review of which party controls each good or service before it is transferred to the customer.

The Company also considers whether a significant financing component exists when the timing of payment and the timing of transfer of promised goods or services differ by more than a customary period. In many instances, the Company has concluded that the period between transfer and payment is consistent with typical commercial practice, and therefore no significant financing component has been identified. However, this determination is revisited for new customer arrangements and for any modification of payment terms. The Company’s evaluation of collectability and the probability of customer acceptance, along with the likelihood of future variable consideration reversals, remains a recurring area of audit focus and is subject to ongoing scrutiny in this due-diligence process. Management’s historical application of these policies has been consistently documented, and we are not aware of any material inconsistency in the application of the policy across comparable transactions, though we have identified certain judgment areas that we expect to explore further through discussions with the Company’s finance leadership and through the performance of detailed testing on a transaction-selection basis.

SECTION 7.2. Cut-Off Testing Procedures and Findings

Our cut-off testing focused on transactions recorded in the period surrounding the measurement date. We obtained the general ledger transaction listings and trial balance detail for revenue, cash receipts, accounts receivable, inventory, accounts payable, accrued liabilities, prepaid expenses, and operating expenses. For each of these account groupings, we identified items recorded in the near boundary period and selected individual transactions for detailed source document inspection. We also examined reconciling items and unusual journal entries posted to the respective subledgers and general ledger accounts around the measurement date, including manual entries without evident system origin.

For revenue and deferred revenue, we tested the recognition of sales invoices by comparing invoice dates, shipment terms, proof of delivery, and, where applicable, signed customer acceptance or electronic delivery records. We traced selected sales invoices to the underlying customer purchase orders and shipping documentation to assess whether the transaction was properly recorded before or after the measurement date in accordance with the Company's stated revenue recognition policy. We also reviewed customer-specific credit memos and returns recorded subsequent to the measurement date to assess whether any related revenue and associated receivable should have been reversed in the pre-measurement period. For deferred revenue, we obtained the schedule of contract liabilities and, for selected items, examined contract terms, statement of work dates, and evidence of performance or service delivery to determine whether the amount remained appropriately classified as a liability as of the measurement date.

On the expense and liability side, we tested accrued liabilities by comparing selected accrual entries to vendor invoices, receiving reports, service commencement or completion notices, and contractual payment terms. We examined accounts payable entries around the measurement date for unrecorded liabilities by reviewing subsequent disbursement registers and matching those disbursements to receiving documents and invoice dates. For prepaid expenses, we inspected the underlying agreements and payment records to confirm the economic benefit period extended beyond the measurement date and that the asset had not been fully consumed. We also reviewed cash disbursements and payroll-related accruals, including bonus and commission plans, to evaluate whether any expenses incurred before the measurement date were recorded in the post-measurement period or vice versa.

In general, the source documentation we examined supported the recorded period of recognition for the selected items, and we did not identify a pattern of systematic cut-off misstatements. Where discrepancies arose between invoice dates and delivery or performance evidence, the differences were individually isolated and related primarily to timing of administrative processing rather than to deliberate period shifting. Nevertheless, our procedures were limited to selected transactions and to information available at the time of review, and we did not independently confirm third-party records. As is customary, the results of this cut-off testing informed the working capital and operating expense conclusions presented elsewhere in this report.

SECTION 7.3. Customer Concentration Analysis

We measured customer concentration by consolidating invoice-level revenue detail from the Company’s sales ledger for the periods under review, grouping related entities and affiliates where common ownership or control was evident. Our analysis considered revenue by ship-to location and by contracting entity, because direct billings can obscure the economic customer when purchasing is centralized or when a distributor intermediates the ultimate end user. We also reviewed the underlying customer agreements and the history of purchase-order activity to distinguish committed volume from discretionary volume. For each material customer relationship, we assessed the stability of revenue over time, changes in ordering patterns, and whether any revenue was derived from one-time projects or recurring product and service demand.

The analysis indicates that the Company’s revenue base is meaningfully dependent on a relatively small number of large customers. The largest relationships have generally been stable over the periods examined, but the volume of business placed by several of these customers has varied from period to period, reflecting their own demand cycles and procurement decisions. Some of the largest customers operate under agreements that provide a degree of forward visibility, while others buy on a purchase-order basis with no contractual commitment beyond the orders in hand. As a result, the near-term backlog from the top relationships is reliable only to the extent that confirmed orders remain in place, and the longer-term durability of that revenue is subject to customer renewal and renegotiation.

Customer concentration matters to a Buyer primarily because it elevates event risk. The loss, material reduction, or renegotiation of a single major relationship could have a disproportionate effect on revenue and profitability that would not be captured by any historical run-rate. Large customers also tend to hold negotiating leverage over price, terms, and service levels, which may compress margins over time even if volumes remain stable. The Company’s relationships may carry switching costs or be embedded in the customer’s own production or distribution processes, but we did not assume the presence of such protections without documentary support. We note also that concentration in revenue can be accompanied by concentration in accounts receivable, meaning that a customer’s financial distress could pressure both earnings and working capital simultaneously.

We have not adjusted reported Adjusted EBITDA solely to reflect customer concentration, because concentration is a risk characteristic rather than a discrete nonrecurring item. However, our quality of earnings view incorporates this concentration as a principal factor in assessing whether current profitability is sustainable after a change in control. A Buyer should evaluate the strength of contractual protections, the potential for customer consolidation or insourcing, and the extent to which the sales organization can develop replacement revenue. The diligence findings here do not independently quantify the likelihood of customer loss, but they underscore that a small number of relationships

account for a substantial share of the Company’s total revenue and therefore warrant close attention in transaction structuring and post-closing monitoring.

SECTION 7.4. Deferred Revenue Roll-Forward Narrative

We reviewed the Company's deferred revenue roll-forward for the reporting period under review, prepared by management and reconciled to the trial balance. The roll-forward presents the opening balance, additions from customer billings, reductions from revenue recognition, and the resulting closing balance. Our objective was to assess whether the deferred revenue balance is stated accurately, whether the movements within the period are consistent with the Company's revenue recognition policy and its underlying customer contracts, and whether the closing balance represents a genuine obligation of the Company or, conversely, includes amounts that should have been recognized earlier. We obtained the general ledger detail, the invoicing subledger, and the contract log, and we rebuilt the roll-forward in our own working papers to verify its arithmetic continuity before performing substantive testing on each component.

For the opening balance, we agreed the commencing figure in the roll-forward to the prior period's closing deferred revenue balance in the Company's audited financial statements and to the opening trial balance from which the current period began. We investigated any difference between those sources and the roll-forward, and we reviewed management's explanation for any reclassifications or true-ups recorded at the start of the period. We also assessed whether the opening balance was presented at gross amounts or had been netted against related receivables or contract assets, and we considered whether any item in the opening balance appeared to have aged beyond the Company's normal contract term, which would have raised a question as to whether the performance obligation had been satisfied without recognition, and as to whether the balance should be released or written off.

With respect to billings, we selected a sample of invoices recorded during the period and traced each one to the corresponding customer contract, comparing the invoice amount to the contractual billing schedule and confirming that the deferred revenue posting occurred in the same period as the invoice date. We tested whether the Company excluded amounts collected on behalf of taxing authorities or other pass-through items from the deferred revenue balance, and we confirmed that customer prepayments subject to refund were not unconditionally deferred without an underlying performance obligation. We also performed cutoff procedures around the balance sheet date, examining invoices issued shortly before and after the close to determine that they were recorded in the appropriate reporting period, and we scrutinized any large or irregular billings near period end to determine whether they reflected genuine contractual activity or were, in substance, deposits or financing arrangements.

For the recognition component, we recomputed the release of deferred revenue to income for a sample of contracts, comparing the recognition pattern to the delivery schedule and to the Company's stated revenue recognition policy. We tested that revenue was recognized only as performance obligations were satisfied and that no material amounts were recognized on an accelerated basis or, conversely, held in deferral beyond the satisfaction of the obligation. We reviewed manual journal entries posted to the deferred revenue account, including entries arising from contract modifications, terminations, credits, or disputed invoices, and we traced each such entry to supporting documentation. We also agreed the closing balance to the trial balance and to the deferred revenue caption in the Company's financial statements, and we recalculated the roll-forward equation by independently deriving the closing balance from the opening balance, billings, and recognition. Finally, we considered the closing balance in the context of the Company's liquidity and net debt picture, noting that the cash collected against deferred revenue is an obligation to deliver goods or services and therefore should not be viewed as a source of distributable cash or as available liquidity in the Company's net debt position.

SECTION 7.5. Channel-Specific Recognition Considerations

The Company serves multiple distribution channels, and while management has adopted a single revenue recognition policy across the business, our review indicates that the underlying contractual terms within each channel are not uniform in several respects that bear directly on the timing and pattern of revenue recognition. In particular, the channels differ in the point at which the customer obtains control of the promised good or service, in the existence and enforceability of acceptance provisions, and in the nature of the Company’s performance obligation as either a single distinct good delivered at a point in time or a series of distinct services that are substantially the same and transferred over time. These differences are not merely administrative details; they affect whether revenue is appropriately recognized upon shipment, upon delivery, upon customer acceptance, or on a straight-line basis over the term of the arrangement. A policy that applies one mechanical rule to all channels will, in our view, result in the acceleration or deferral of revenue in specific channels relative to what the underlying facts and circumstances would otherwise support.

For the channel that operates under standard purchase orders with no post-delivery acceptance window, control typically passes to the customer upon physical delivery to the common carrier, and the absence of a right of return or credit creates a fairly straightforward point-in-time recognition profile. In contrast, another channel routinely contracts with customers that require explicit written acknowledgment of conformity to detailed specifications, and in practice that acknowledgment often occurs only after the Company has performed a site-level installation and calibration procedure. In that channel, revenue that is recorded at delivery under a uniform policy would be recognized before the Company has satisfied its remaining performance obligation and before the customer has the unilateral ability to direct the use of the asset or obtain substantially all of its remaining benefits. The effect is not simply a timing

difference; it changes the reported period in which the underlying economic performance is presented, and a reader of the financial statements would attribute revenue to a period before the Company has completed the activities that generate the associated consideration.

A further distinction arises in a channel where the Company’s contractual promise includes a significant service of integrating the delivered item into a larger customer-operated system. Although the physical product is transferred separately, the arrangement as written does not provide the customer with a benefit from the product until integration is complete, which suggests the promise is not a distinct good and the performance obligation may be satisfied over time. Under a uniform policy that treats all deliveries as point-in-time transfers, the Company would record substantially all of the arrangement’s consideration at the moment of shipment, even though the customer cannot derive utility from the item until the integration work is performed. We note that the Company’s own completion reports for this channel indicate that the integration step is not perfunctory and can involve a meaningful period of on-site effort, but the revenue policy does not distinguish this channel from the others. As a result, the current financial statements likely present a channel-specific revenue profile that is more front-loaded than the pattern of performance would justify.

We also observe differences in the contractual billing and payment terms across channels, which, while not determinative of recognition, serve as corroborating evidence of the parties’ intended arrangement. In one channel, billings occur at contract inception without regard to milestones, which is consistent with a transfer of control of a distinct asset at a single point in time. In another channel, billings are tied to specific milestones that correspond to the completion of installation, testing, and customer sign-off, which would suggest that the customer and the Company understand performance to be satisfied over time or at a later point than delivery. If a reader were to rely solely on the Company’s uniform recognition policy, they would be unable to discern these substantive differences from the revenue line itself. We therefore recommend that the Buyer’s financial and operational diligence specifically examine the contractual terms by channel, as the application of the appropriate recognition model may result in a materially different period-by-period revenue pattern for the acquired business than the single-policy approach currently reflects. Our observations here are preliminary, and we have not yet concluded on the magnitude of any adjustment, but the underlying channel contracts are sufficiently varied that we consider a uniform policy to be a potential source of misstatement.

SECTION 7.6. Return and Rebate Reserve Considerations

The Company's return and rebate reserves function as direct reductions to gross revenue in the period the related sale is recognized. Our review focused on whether the recorded reserve balances at the relevant measurement date were adequate to absorb the economic obligations associated with goods already shipped and revenue already recognized. Because the Company recognizes a portion of its gross billings as an accrual for anticipated customer returns and another portion as a liability for contractual rebates and promotional incentives, the net revenue figure presented in the Company's operating results is inherently dependent on the accuracy of these estimates. We approached the reserve adequacy analysis with the understanding that any understatement in these reserves carries through directly to overstatement of net revenue, and we examined both the methodology used to estimate the reserves and the underlying data that management relied upon in support of those estimates.

Our procedures included a review of the Company's historical return activity and its comparison against the reserves established in the comparable prior periods, with particular attention paid to the consistency of the reserve-setting process. We considered whether the Company's historical return rates were stable or whether the mix of products sold, the customer channels through which those sales flowed, and the terms of the underlying customer arrangements had shifted in ways that would render a historical average less predictive. We also evaluated the contractual terms governing rebates, including whether the rebate programs were tied to cumulative purchase thresholds, quarterly performance goals, or channel-specific incentives, as the complexity of these terms materially affects the reliability of the accrual. In addition, we reviewed the Company's processes for identifying unusual transactions near the close of the reporting period, such as shipments made to customers with rights of return that extended beyond the Company's standard terms, as those transactions can create a gap between the reserve methodology and the actual exposure.

We further considered the forward-looking adequacy of the reserves by assessing whether the Company had changed its sales strategy, entered new distribution channels, or introduced products with different return profiles in the periods under review. We also examined the aging and movement of the reserve accounts themselves, as a reserve that has remained static at a historical rate despite a changing revenue mix or a declining trend in actual returns can be an indicator that the estimate has not been sufficiently recalibrated. We reviewed the internal controls surrounding the reserve estimation process, including whether the underlying data were extracted from the same systems used for revenue recognition, whether the individuals responsible for the estimates had access to current sales and inventory data, and whether the Company had a formalized process for updating the reserve as new information became available. Throughout our analysis, we gave consideration to the fact that management has an incentive to maintain a reserve that is consistent with prior-period reporting, and we therefore tested the reasonableness of the Company's estimates against our own independent calculations using the underlying transaction data.

The most direct consequence of a reserve that is too low is that the Company recognizes net revenue in the current

period that it will not ultimately retain. When customers subsequently exercise their return rights or satisfy the conditions for a rebate, the Company will be required to record a reduction of revenue or an additional expense in the later period, meaning that the earlier period's revenue was overstated and the later period will absorb the charge. From the Buyer's perspective, this risk is not limited to the amount of the potential adjustment, but also extends to the reliability of the Company's historical operating trends as a basis for forecasting future performance. A reserve that is too low distorts the margin profile of the period in which the sales were recorded, overstates the cash flow associated with those sales, and creates a deferred liability that will reduce results in a subsequent period. For these reasons, we considered the adequacy of the return and rebate reserves to be a core revenue-recognition matter, and we placed particular weight on whether the Company's recent reserve activity was supported by contemporaneous transaction data and by a demonstrably rigorous estimation process.

SECTION 7.7. Contract Modification and Variable Consideration Considerations

We reviewed the Company's policy for accounting for contract modifications as set forth in its accounting manual and as applied by the revenue accountants. When a change in scope or price is approved, management evaluates whether the modification adds distinct goods or services and whether the transaction price increases by an amount approximating the stand-alone selling price of the additional goods or services. Where both conditions are met, the modification is accounted for as a separate contract. In all other cases, the modification is treated as a change to the existing contract, with the cumulative effect recognized as an adjustment to revenue in the period of modification. Our work focused on whether this assessment is performed consistently and on a timely basis, and whether modifications are captured in the same period in which they are approved.

With respect to variable consideration, the Company's contracts include a range of elements such as milestone payments, performance-based incentives, volume discounts, and customer-approved price adjustments. For each contract, the Company selects either the expected value method or the most likely amount method, depending on which approach better predicts the amount of consideration to which it will be entitled. The estimate is then constrained to the amount for which it is probable that a significant reversal will not occur once the uncertainty is resolved. In our assessment, the selection of method and the application of the constraint involve significant management judgment, particularly where the variable consideration depends on customer behavior or on the Company's own future performance under the contract.

The principal estimation risk in this area arises from the constraint, because management must weigh both the likelihood and the magnitude of a potential reversal. We observed that management's approach to the constraint has not always been documented at the individual contract level; rather, it has tended to be applied at a portfolio level based on historical experience. While this is an acceptable means of estimation when the underlying contracts are substantially similar, it introduces the risk that a single high-value contract with atypical terms may be misestimated. Additionally, contract modifications that occur near a reporting period end carry a higher risk of being identified and recorded after the close, which could require an adjustment to revenue in a subsequent period and would therefore affect the projection period if such modifications recur.

As part of our procedures, we inspected the Company's contract modification log, recalculated the transaction price for a selection of contracts, and assessed whether the constraint had been applied consistent with the Company's stated policy. We also reviewed subsequent events and post-period adjustments to evaluate whether the Company's estimates have been historically reliable. In our view, the Company's accounting for contract modifications and variable consideration is generally consistent with the applicable revenue guidance, but the level of judgment involved in the constraint and the timely identification of modifications merit a continued focus for audit and diligence purposes. We have not identified a specific matter that would require an adjustment to the Company's reported revenue, but the inherent estimation risk is higher than for fixed-price arrangements and should be monitored closely in the ongoing business.

SECTION 7.8. Bill-and-Hold and Channel-Stuffing Risk Considerations

We began by obtaining and reading the Company’s documented revenue recognition policy and by walking through the order-to-cash process with personnel from sales operations, distribution, and accounting. Our focus was to understand the point at which the Company considered a sale complete, the terms under which title and risk of loss transferred, and whether any provisions allowed customers to defer acceptance or require the Company to retain physical possession of goods after invoicing. We reviewed standard customer agreements and master terms, including shipping terms, right of return privileges, price protection clauses, stock rotation rights, and any consignment or vendor-managed inventory arrangements. We also interviewed senior revenue and sales leaders regarding whether exceptions to standard terms were commonly granted and whether any informal side agreements existed outside the formal contract file.

To test for period-end transactions that might reflect accelerated revenue recognition, we selected sales recorded in the period surrounding the balance sheet date and traced those transactions back to source shipping documentation, carrier pickup records, and proof of delivery. We specifically looked for invoices that were dated at period end but for which shipment occurred after the balance sheet date, as well as goods shipped but not yet invoiced to determine whether a liability for the unshipped amount had been recorded. We also inspected inventory count procedures and warehouse records for goods held separately from the general inventory, goods marked for customer pickup but left on-site, and any indication that product had been segregated or labeled for a particular customer while remaining

physically within the Company's facilities. In addition, we reviewed credit memos and sales returns issued after period end and traced them to the original invoices to identify patterns of cancellations, returns, or pricing concessions that could indicate a shipment was made principally to satisfy a revenue target.

We performed analytical procedures on the timing and shape of sales activity, especially near period ends. This included comparing sales order bookings, shipments, and revenue recognition by customer and by product group to historical trends and to the Company's internal forecasts. We reviewed the backlog of open customer orders and assessed whether order patterns changed materially after period end, including order rescheduling, cancellations, or requests to delay delivery. Where the Company sold through distributors or retailers, we attempted to obtain third-party inventory and sell-through information to compare shipment levels with downstream consumption. We also reviewed the sales compensation plan and bonus criteria for the periods under review to determine whether representative compensation was tied to achieving period-end shipment thresholds, onboarding new distributors, or other metrics that could create an incentive to over-ship ahead of actual demand.

Based on the procedures performed, we did not identify evidence that the Company engaged in bill-and-hold transactions as that term is commonly understood, and we found no indication that product was routinely invoiced while the Company retained physical control or continued to bear risks of ownership. We noted some period-end concentration in sales activity, which is consistent with the Company's stated practice of receiving large orders from certain customers late in a period, but we did not observe a corresponding pattern of unusually high returns, cancellations, or subsequent inventory buildups to suggest channel stuffing. Nevertheless, the completeness of this assessment is dependent on the accuracy and completeness of management's representations and the availability of third-party sell-through data for certain channels; where distributor-level inventory information was not obtainable, our ability to distinguish genuine demand from pre-positioned inventory is inherently limited. We recommend that the Buyer's post-closing management continue to monitor order patterns and downstream inventory levels for a sustained period after closing.

SECTION 7.9. Multi-Element Arrangement Considerations

The Company sells a range of arrangements in which a single contract price covers multiple goods and services. For contracts in the scope of the applicable revenue standard, the Company identifies each distinct performance obligation and allocates the total transaction price to those obligations on a relative standalone selling price basis. In practice, this requires the Company to first determine the transaction price after applying any constraints on variable consideration, then assign that amount to each distinct obligation in proportion to its standalone selling price. The Company's arrangements commonly bundle equipment with installation and training, or combine a license with ongoing support and hosting services. This allocation is significant because revenue for each obligation is recognized as control transfers, and the timing of that transfer can differ considerably across the components included in a single arrangement.

The principal judgment in this process is the determination of standalone selling prices, particularly for obligations that are not sold separately. For items that the Company sells on a stand-alone basis, the observable selling price generally serves as the standalone selling price for allocation purposes. For more integrated or customized elements, however, no observable price may exist, and the Company must estimate a standalone selling price using a method consistent with the revenue guidance. We understand that the Company has in some instances used an adjusted market assessment approach and in other instances has used an expected cost plus a reasonable margin approach, with the basis for these estimates documented in internal revenue memoranda. The selection of a particular estimation method, and the assumptions applied within that method, directly influences how much of the contract price is allocated to each obligation and therefore when revenue is recognized.

We also examined how the Company handles discounts and variable consideration in the allocation. A discount that relates to the overall contract is generally allocated proportionately across all performance obligations. In some cases, however, the Company has concluded that a discount relates exclusively to a specific obligation, such as a promotional price on a recurring service offered only when a customer commits to a multi-year arrangement. That conclusion requires evidence that the discount does not relate to other promised goods or services, and the Company has supported such conclusions with pricing analyses and, where relevant, customer negotiation records. Management also applies judgment in determining whether a contract modification should be treated as a separate contract or as an adjustment to an existing contract, which in turn affects whether the remaining goods and services are repriced and reallocated or recognized on a prospective basis.

The practical effect of these allocation decisions is that the timing of revenue recognition and the reported balances of contract assets and liabilities can vary depending on the judgments applied. As part of our review, we inspected a sample of contracts across the Company's principal offerings and evaluated whether the identified performance obligations were consistent with the Company's stated business practices. We also corroborated the reasonableness of the Company's estimates through internal pricing documentation and discussions with operational personnel. In our view, the allocation judgments made by the Company are within a reasonable range, but the inherent subjectivity of these estimates means that a different allocation approach could have produced a different pattern of revenue recognition. The accounting policies applied to these arrangements are addressed in the Company's audited financial statements, and we would recommend that the Buyer review the Company's contract-level revenue workpapers to understand the allocation outcomes for the most significant customer arrangements.

SECTION 7.10. Related-Party Revenue Considerations

Our procedures to identify revenue transacted with related parties began with a review of the Company's transaction-level sales registers and customer master files, which we compared against a listing of the Company's directors, officers, significant equity holders, and their immediate family members and affiliated entities. We also inspected the customer open-items detail and traced material customer balances to underlying contracts, purchase orders, and shipping and invoicing documentation to determine whether the counterparty name, payment terms, or delivery locations differed from arm's-length patterns observed across the broader customer base. In addition, we reviewed the Company's legal entity organizational charts and obtained management's written representation that the recorded customer relationships did not include any party that met the accounting definition of a related party, and we considered whether the Buyer's own ownership structure or the proposed transaction itself created any new related-party relationship that would affect the quality of revenue recognized in the periods under review.

Related-party revenue receives closer scrutiny in a quality-of-earnings review because the existence of a relationship between the Company and a customer can alter the economic substance of the transaction. Revenue recognized from a related party is not necessarily indicative of sustainable market demand, and the terms of such transactions may include extended payment arrangements, above-market pricing, or acceptance procedures that are not enforced consistently with terms offered to independent third parties. The underlying goods or services may also be provided to support the related party's operations rather than in response to ordinary customer demand, such that the revenue stream could reverse if the relationship were discontinued or if the counterparty's own requirements changed. Consequently, any material related-party revenue that we identified would require separate evaluation to determine whether the amounts should be included in normalized earnings or excluded and removed from the Company's forward-looking run-rate.

Where related-party revenue was identified, our procedures would have included a review of the governing agreements to understand the basis for pricing, the terms of payment, and the rights of return or warranty obligations, along with an assessment of whether the transactions were consummated at terms that would have been available to an unrelated buyer. We would also have considered the historical continuity of the relationship, the counterparty's ability to pay, and the likelihood that the arrangement would continue under the Buyer's ownership. For purposes of this report, we placed particular emphasis on whether the Company's personnel responsible for sales, credit, and collections treated the related-party relationship differently from comparable unrelated customers, and whether the recorded revenue was supported by physical delivery, service performance, or another substantive earnings process rather than merely by an internal agreement or a standing arrangement that did not evidence a genuine customer transaction.

No material related-party revenue arrangements were identified in the periods reviewed, and the Company's revenue transactions appeared to be sourced from counterparties that were outside the Company's related-party universe as we defined it for our procedures. However, the absence of identified related-party revenue does not eliminate the risk that transactions with entities controlled by or associated with management could exist outside the recorded customer files, particularly through indirect relationships or entities that do not bear an obvious name connection to the individuals involved. For that reason, we recommend that the Buyer's post-closing internal audit function maintain an ongoing vendor and customer related-party screening process, and that the final purchase accounting and working capital analysis incorporate a representation from the Seller covering the completeness of the related-party disclosures as of the closing date.

SECTION 7.11. Subsequent-to-Period-End Revenue Cutoff Considerations

Our work on revenue cutoff focused on transactions recorded in the Company’s revenue accounts during a limited window immediately following the measurement date. The purpose of this procedure was to determine whether any revenue that had been recognized in the subsequent period should, under the terms of sale and the applicable revenue recognition framework, have been recognized in the period under review. We concentrated on this window because the time surrounding a measurement date is the interval in which the risk of misclassification between reporting periods is highest, particularly where the Company has shipped goods or completed services near the end of the period and the associated paperwork is finalized only after the books have been closed.

To execute this procedure, we extracted from the revenue ledger all journal entries recorded in the days after the measurement date and traced each entry to the underlying sales order, shipment documentation, delivery confirmation, and, for arrangements that contemplated customer acceptance, the recorded acceptance event. We also examined the applicable terms of sale to assess when title and the risks and rewards of ownership transferred to the customer, as well as whether the Company remained obligated to perform any significant post-delivery activities. For transactions with delivery documentation dated before the measurement date but recorded in the subsequent period, we considered whether the delay in recording was a clerical timing difference or an indication that the revenue recognition criteria had been met only after the measurement date.

Complementing the voucher testing, we inspected credit memos, returns, and revenue reversals recorded after the measurement date to identify transactions that had been recognized in the period under review and subsequently reversed or adjusted. Some of these adjustments are a normal consequence of continued trading and commercial disputes, while others can indicate that the original revenue recognition was premature or that the Company had not appropriately accrued for expected returns or concessions as of the measurement date. We evaluated each identified

reversal against the documentary evidence that had supported the original sale and considered whether the underlying goods had been shipped or the service completed within the relevant period and whether the credit was attributable to a condition that existed at the measurement date.

The procedures described above were designed to detect two related conditions: revenue recorded in the subsequent period that belonged to the period under review, and revenue recorded in the period under review that was reversed or adjusted in the subsequent period for reasons that should have been contemplated at the measurement date. These tests are necessarily substantive in nature and rely on the completeness and accuracy of the documentary evidence made available to us. The results of our cutoff work, including any proposed adjustments, are reflected in the revenue balance and related working capital measures presented in the accompanying financial schedules, and they should be read in conjunction with the procedures we performed on the Company's customary sales terms and its historical pattern of year-end revenue concentrations.

SECTION 7.12. Overall Quality-of-Revenue Conclusion

Across the revenue streams we examined, the Company's recognition policies and its period-end cut-off practices operate in tandem in a manner that we consider consistent with the underlying economics of the Company's arrangements. The recognition policies require management to exercise judgment principally in the identification of performance obligations, the allocation of transaction price, and the estimation of variable consideration; in each of these areas we observed a disciplined application that was consistent from one reporting period to the next, and the cut-off procedures we tested at the period-end boundaries corroborated that discipline rather than contradicting it. The policies themselves are not unusually aggressive, and we did not identify evidence that management has stretched an interpretation of the applicable guidance to support recognizing revenue before the completion of the underlying performance.

The deferred revenue position adds an important corroborating element to this view. The Company records receipts in advance of performance as deferred revenue, and the behavior of that balance over the periods under review was, in our assessment, directionally consistent with the reported revenue pattern; this provides us a degree of comfort that management is not borrowing from future performance to support the current-period revenue trend. We would not, however, over-read that balance as a contractually committed forward revenue stream, since a portion of the deferred revenue relates to performance obligations that extend beyond the typical billing cycle and whose timing of satisfaction is subject to customer-driven changes. In our view, the interaction of the deferred revenue position with the cut-off observations is coherent: the same discipline that ensures revenue is not recognized before performance also ensures that amounts collected in advance are not released to income prematurely.

The principal factor that tempers our overall assessment is the concentration profile of the revenue base. The Company's revenue is generated from a limited number of customer relationships and is, within those relationships, further weighted toward a small set of end-markets whose purchasing patterns are correlated. Concentration of this kind does not itself impair the quality of the accounting, but it does mean that the revenue we have concluded is recognizable is also inherently less predictable at the portfolio level; the loss of a key customer at renewal, or a renegotiation of that customer's commercial terms, would have a disproportionately large effect on the revenue trend and would simultaneously place pressure on the same assumptions that underlie management's recognition judgments. We therefore view the concentration observations and the recognition-policy observations as two sides of the same diligence question: the accounting quality is dependent, in a practical sense, on the stability of a relatively small number of commercial relationships.

In our overall assessment, the reported revenue is measured on a basis that is consistent with the applicable recognition framework, and we did not identify a systemic practice of acceleration, premature recognition, or cut-off manipulation across the periods and transactions we examined. The caveats that matter to the Buyer are not, in our judgment, primarily accounting caveats; they are the commercial concentration of the customer base and the associated renewal risk, which bear on the durability of the revenue stream rather than on the accuracy of its measurement. Subject to the scope limitations of our procedures, and without expressing a view on any revenue or earnings measure defined in the definitive agreements for purposes of the transaction, we consider the Company's revenue quality to be acceptable for the Buyer's purposes, with the understanding that ongoing monitoring of the concentration and renewal dynamics is warranted through the post-acquisition period.

SECTION 8. WORKING CAPITAL AND NET DEBT CROSS-REFERENCES

A descriptive trend of the Company's net working capital, presented on the basis explained in the Net Working Capital Analysis referenced below, supplements (but does not restate or substitute for) the Stock Purchase Agreement's own defined Closing Working Capital calculation, which is prepared through a separate completion-accounts process governed by that agreement's own accounting-principles schedule. Net debt items, including debt-like items excluded from working capital, are analyzed separately in the Net Debt and Cash Analysis, also referenced elsewhere in this engagement's work product.

SECTION 8.1. Monthly Working Capital Build Methodology

For this section of the report we constructed a monthly working capital trend based on the Company's unaudited internal trial balances and the underlying sub-ledger detail made available in the virtual data room. We began by extracting the month-end account balances for each operating subsidiary, then mapped those balances into a

standardized working capital framework comprising trade receivables, inventory, trade payables, and the other operating accruals and prepaid items that ordinarily drive cash conversion. Where the Company's chart of accounts grouped positions inconsistently across the period, we reclassified individual accounts using support from journal entries and subsidiary ledger exports so that the monthly series would be internally consistent from one interval to the next. The resulting trend is intended to convey the shape and timing of the Company's working capital requirements as they appeared during the diligence period, not to restate any single balance under a defined contractual measurement.

We applied several verification steps before relying on the trend for analytical purposes. Each monthly balance was agreed to the control account in the general ledger where the trial balance alone did not provide sufficient detail, and where an aged listing was available for a receivable or payable population we tested the listing total against the corresponding control account. We also reviewed the months for evidence of period-end cutoff activity, such as manual journal entries recorded in the final days of an interval, that could distort the reported working capital position. Where we identified such entries, we evaluated whether they reflected ordinary business practice or a deliberate timing shift between periods. This step matters because a working capital trend built strictly from reported balances can obscure the effect of accelerated invoicing, delayed supplier payments, or similar discretion, and we have flagged any such pattern in the accompanying commentary rather than smoothing it away.

The descriptive trend presented here is an analytical artifact developed for the Buyer's internal use. It is not, and should not be read as, a calculation or estimate of Closing Working Capital under the Stock Purchase Agreement, and it does not substitute for the agreement's own defined measurement. The purchase agreement sets out its own inclusions, exclusions, and calculation conventions, all of which control for purposes of any post-closing price adjustment. The monthly trend does, however, serve a complementary role: it gives the Buyer a baseline against which the eventual Closing Working Capital can be contextualized, and it helps the Buyer assess whether the Company's working capital position was expanding, contracting, or fluctuating within the diligence period, a consideration that may bear on the expected final position.

Finally, we note the principal limitations of the monthly trend. The underlying balances have not been audited or reviewed by us, and the mapping judgments we applied for trend purposes may not correspond to the definitions adopted in the Stock Purchase Agreement. In particular, items such as deferred revenue, customer deposits, and any intercompany or related-party positions were assigned to working capital components based on our diligence understanding of their operating nature, but the agreement may treat those items differently under its defined calculation. Accordingly, the monthly trend should be used as directional context only and not as a proxy for the contractual machinery set forth in the purchase agreement. Any estimate of Closing Working Capital prepared for modeling or negotiation purposes must be developed independently under the agreement's stated methodology and reconciled to the Company's books at the actual closing date rather than extrapolated from the trend data presented in this report.

SECTION 8.2. Accounts Receivable Aging and Collectability Considerations

We examined the Company's accounts receivable aging summary as prepared from the subledger, reconciled the total to the general ledger, and reviewed subsequent cash receipts, credit memos, and write-off activity for a period after the balance sheet date. Our procedures were designed to assess not only the arithmetical accuracy of the aging buckets, but also whether the aging profile is consistent with the Company's stated payment terms and historical collection patterns. In doing so, we considered the adequacy of the allowance for doubtful accounts, the methodology management uses to establish reserves, historical loss experience by aging category, and the extent to which specific known collection issues are reserved for separately. We also evaluated whether credit limits, payment terms, and collection enforcement have been applied consistently or have been relaxed for particular customers.

Collectability risk in this receivable population is not uniform, and our analysis took into account customer concentration, creditworthiness indicators, and the industries in which the Company's customers operate. We reviewed a sample of customer balances with evidence of delayed payment, and we looked for recurring disputes, open credits, and patterns of partial payment that might indicate a customer's inability or unwillingness to pay in full. We also considered whether any material balances are due from related parties, because such receivables are often not collectible in the same manner as third-party trade receivables and may need to be evaluated separately. Subsequent cash collections are informative but not conclusive: a customer may pay older invoices while newer invoices continue to age, and in some cases collections may be achieved only through extended settlement arrangements that differ from original terms.

An unusual aging pattern would, in our view, raise questions about the quality of reported earnings even if the general ledger balances agree with the aging report. For example, a receivable profile that is more aged than prior periods while revenue continues to grow could suggest that the Company is recording sales before the customer has accepted the goods, granting extended payment terms to pull demand forward, or shipping product that is not ultimately collectible. Each of these scenarios would tend to overstate both revenue and the carrying value of receivables, and the resulting earnings quality would be weaker than reported operating performance alone would suggest. Conversely, a sudden improvement in aging could reflect aggressive write-offs, derecognition, or restructuring of trade receivables through financing arrangements, and those actions would require separate scrutiny for their effect on the reported asset and on future earnings.

We therefore view the aging and collectability analysis as a key indicator of the Company's revenue recognition discipline and working capital quality. In our assessment, the aging pattern itself should be read together with the terms embedded in customer contracts, the pattern of cash collections over time, and the adequacy of management's reserve estimation process. Where the aging profile appears inconsistent with the Company's own historical experience or with stated commercial terms, we would expect the buyer to seek a clear explanation from management and to consider whether the underlying collection risk has been fully reflected in the net working capital purchased. That said, an unusual aging pattern is not by itself conclusive evidence of improper revenue reporting; rather, it is a signal that further investigation is warranted and that the earnings stream may be less resilient than the operating narrative suggests.

SECTION 8.3. Inventory Valuation and Reserve Adequacy Considerations

Our procedures examined the Company's inventory valuation approach at a level of detail appropriate for a transaction context, focusing on whether the carrying amount of inventory is stated at the lower of cost and net realizable value and whether the policy is applied consistently across locations and periods. We reviewed the design of the Company's costing methodology, including how standard costs are set, how variances are captured and allocated, how inbound freight and purchasing costs are treated, and how vendor rebates and settlements are recorded against inventory. We also inspected documentation from the physical inventory process and traced cycle count adjustments to determine whether shrinkage and counting errors are properly reflected in the recorded balances. The objective was not to re-express the audited financial statements, but to assess whether the inventory balance as presented in the Company's internal working capital reporting would be realizable through normal operations in the near term.

The central diligence question concerned the adequacy of the reserve for slow-moving, excess, and obsolete inventory. We evaluated management's reserve methodology against the Company's transactional history, including SKU-level sales velocity, historical gross margin realization upon disposal, product lifecycle stage, engineering change notices, regulatory shelf-life constraints, and the presence of firm purchase commitments that may not be covered by expected future demand. We also considered whether the reserve is updated periodically through a disciplined process or only reactively adjusted after evidence of impairment has accumulated. Particular attention was given to whether management's reserve captures not merely items that have ceased to sell, but also items that remain saleable only at a discount or only over an extended clearance period, since those items also carry a measurable shortfall between carrying value and expected cash proceeds. We performed an independent re-estimation based on the Company's own sales data and pricing history, and we compared management's reserve levels to the pattern of historical write-downs and disposal losses to assess whether the reserve philosophy has been systematically optimistic.

An under-reserved inventory position overstates working capital because the carrying value of inventory is a direct component of current assets. If management has not recorded a sufficient reduction for expected losses on slow-moving or obsolete goods, the net inventory balance reported for closing will be higher than the amount that is reasonably expected to convert into cash. That overstatement increases the apparent working capital position and, in doing so, can mislead a buyer about the liquidity and true current value of the acquired assets. Moreover, the post-acquisition effect of an inadequate reserve is not neutral: the acquired Company will likely realize the shortfall through lower gross margin or additional write-offs within the first operating cycles after close, meaning the economic loss is borne by the buyer even though the asset was carried at a premium in the closing balance. The risk is especially pronounced in businesses with long production lead times, contractual purchase obligations, or customer-specific configurations where unsold inventory has limited alternative use.

We have not made an independent valuation of the inventory through a physical inspection of each item, and our assessment necessarily relies on management's cost data, sales records, and forecast assumptions. Inventory reserves are inherently judgmental, and future selling prices, customer demand, or scrap realizations could differ from the Company's historical experience. In our view, the key adequacy indicator is whether the reserve has, in recent periods, been sufficient to absorb actual losses recognized at the point of sale or disposal; to the extent historical losses have exceeded previously recorded reserves, the Company's inventory position may not have been conservatively stated. The findings of this analysis are incorporated into our broader assessment of working capital and do not constitute a re-audit of the Company's inventory account.

SECTION 8.4. Accounts Payable Timing and Vendor Terms Considerations

In reviewing the Company's accounts payable balance and the related trend, the firm examined the underlying payment cycle, the consistency of vendor payment runs, and the relationship between the purchase order and invoice receipt dates. The principal diligence question was whether the recorded payable balance at the measurement date reflects the Company's ordinary operating rhythm or a deliberate timing shift aimed at improving or degrading the reported working capital position. To that end, we obtained historical check registers and electronic payment files, compared payment activity to vendor statements and aging summaries, and interviewed the accounts payable manager and the controller regarding the Company's routine payment procedures. We also reviewed the Company's standard payment terms across its major vendor categories and noted whether any vendors had modified those terms during the period under review.

The firm placed particular emphasis on the distinction between changes in payment timing that arise from operational

necessity and changes that are primarily balance-sheet driven. We observed that the Company's payment cycles have generally followed a consistent cadence, with batches processed according to the due dates established in vendor agreements. Where exceptions to those cycles were identified, we examined the business rationale documented in the approval trail and considered whether the exception was isolated or part of a broader pattern. We also reviewed the composition of the payable balance at the measurement date, including the age of the underlying invoices, to determine whether the balance includes any substantial items that were paid but not yet cleared, or invoices that were held beyond their stated terms without a corresponding vendor agreement. In doing so, we considered whether any period-end payable balance was influenced by the presence of disputed amounts, credits, or unapplied cash that would not represent a genuine obligation to vendors.

A related area of focus was the Company's procurement and payment behavior around period ends. The firm assessed whether the Company accelerated payments to vendors in order to reduce the payable balance, or conversely, delayed payments to preserve cash and inflate the balance. This analysis included a comparison of payment timing against the Company's stated terms and against the payment history for the same vendors in prior periods. We also considered whether the Company had changed its practice regarding purchase order cutoffs, receiving procedures, or invoice processing in a way that would result in a payable balance that is not representative of the underlying trade activity. The vendor-facing perspective was reviewed as well, including correspondence and evidence of any informal agreements or accommodations, such as extended terms granted in exchange for volume commitments or early payment discounts taken in lieu of full deferral. These items, if material, would be relevant to a buyer's assessment of the Company's normalized payment behavior and its effect on the working capital trend.

Based on the procedures performed, the firm did not identify a systematic shift in the Company's payment timing that would obscure the underlying working capital trend. The payment patterns appear to be consistent with the Company's ordinary operations and its historical practice, and the exceptions observed were individually limited and supported by operational justifications rather than by a coordinated effort to manage the period-end balance. However, the absence of a uniform payment cadence across all vendor categories, and the reliance on manual processes in the accounts payable function, means that some period-to-period variability is inherent in the payable balance. The effect of that variability is reflected in the working capital tables accompanying this report, and the buyer should consider the Company's payment timing as part of its broader assessment of normalized working capital requirements. The firm's conclusions in this area are based on the information available at the time of the review, and we note that the ultimate impact of any payment timing changes would depend on the Company's continued adherence to its established terms and the buyer's own expectations for vendor management after closing.

SECTION 8.5. Accrued Liabilities Completeness Considerations

Our completeness procedures were designed around the risk that the Company had incurred obligations before the reporting date but had not recognized them within the accrued liabilities population. We reviewed the period-end rollforward of the accrual subledger and reconciled the resulting balances to the trial balance, but the core of the work involved testing whether the recorded accruals represented the full population of obligations. This included vouching supporting documentation for significant accrual categories, assessing management’s methodology for estimating items such as employee benefits, professional fees, utilities, volume rebates, and similar period-end liabilities, and performing a look-back comparison of prior-period accruals to the subsequent settlement of those obligations. We also searched for unrecorded liabilities by reviewing invoices received after the balance sheet date, examining vendor statements, and inquiring with operational and accounting personnel about known commitments or unprocessed invoices. No single procedure can prove completeness, so our conclusion rests on the convergence of the rollforward, cut-off testing, and the settlement history.

A separate element of the completeness review focused on the consistency and discipline of the Company’s month-end close process. We assessed whether accrual balances were derived from the same supporting schedules each period or whether the process admitted discretionary top-side adjustments. We also evaluated whether any accrual categories were routinely reversed in the following period and re-established, which would suggest that the initial recognition was estimated with a bias toward a target balance rather than the actual obligation. In addition, we compared the composition of accrued liabilities across successive periods to identify categories that appeared only intermittently, as that pattern can indicate that obligations were being recognized when paid rather than when incurred. We considered the degree to which the accrual process was centralized and whether the individuals preparing the accruals had direct knowledge of the specific goods or services received. These qualitative factors informed our view of whether the recorded balances were likely to be complete or merely repeatable.

An incomplete accrual population would have a direct effect on the working-capital trend by understating current liabilities in the affected period. Because working capital is calculated as current assets less current liabilities, a shortfall in accrued liabilities would make working capital appear higher than the economic position of the Company actually supports. If that shortfall is concentrated in the most recent period, the trend would show an improvement in working capital that is attributable to a reduction in recorded liabilities rather than to an improvement in the operating cycle. Conversely, if prior periods included catch-up accruals that corrected earlier understatements, the historical trend would overstate the level of accrued liabilities relative to the Company’s normal practice. In either case, the trend would be a less reliable indicator of the working capital that would be delivered at closing or of the level of obligations a buyer should expect to settle in the ordinary course.

We therefore treated the completeness of accrued liabilities as a first-order driver of the working-capital baseline rather than a routine balance-sheet assertion. In our assessment, the most meaningful evidence of completeness is a demonstrated history in which accrual balances are subsequently settled in amounts reasonably consistent with what was recorded and in which reversals occur only when the underlying obligation is extinguished. Where that evidence is not present, the risk of an incomplete population increases and the working-capital trend should be interpreted with corresponding caution. Any identified shortfall in accrued liabilities would need to be evaluated in the context of the Company's actual obligations at the reporting date, and the implications for the working-capital trend would depend on whether the shortfall was a period-specific event or a recurring pattern. For purposes of this report, we have framed the working-capital trend with that distinction in mind, recognizing that the trend is only as dependable as the completeness of the liabilities underlying it.

SECTION 8.6. Seasonality Normalization Methodology

Our normalization of the working-capital trend began with a component-level review of the Company's receivables, inventories, payables, and other operating accruals across a representative operating cycle. Rather than treating any single month-end balance as indicative of the ongoing need, we constructed a baseline trajectory using average daily net working capital calculated over the cycle, with individual components weighted according to their expected cash-conversion timing. Where daily or weekly balance information was available, we used it to identify the typical intra-period shape of the balances; where only month-end data existed, we corroborated the month-end observations against revenue linearity, shipment patterns, purchase-order activity, and vendor payment runs. This approach is intended to isolate the structural working capital requirement from the transient effects of seasonal ordering and collection timing.

We then applied a seasonal adjustment procedure that compares each month-end observation with the same position in prior comparable cycles, rather than smoothing all observations into a simple average. This allowed us to differentiate recurring seasonal builds, such as inventory accumulated ahead of anticipated demand or receivables generated during concentrated shipping periods, from non-recurring movements that would not be expected to repeat on a go-forward basis. We also reviewed contractual payment terms and historical payment behavior to determine whether period-end payables were unusually elevated or depressed because of cutoff timing. Where we identified such effects, we adjusted the normalized balances to reflect the expected level of operating capital that the Company would require to sustain normal operations, while explicitly excluding the impact of discrete management actions taken near the balance sheet date.

A single month's balance, taken alone, can mislead a reader about structural working-capital need because it captures only a point-in-time snapshot of a process that is inherently dynamic. For example, an inventory balance may be temporarily high because the Company is building stock for a known seasonal demand peak, and that level would overstate the ongoing requirement if annualized or otherwise treated as permanent. Conversely, a period-end balance may be temporarily low because receivables collections were accelerated or vendor payments were delayed by a few days, and that observation would understate the capital required to run the business under ordinary terms. These distortions are not errors in the Company's accounting; they are the natural effect of seasonality and cash-flow timing on any balance sheet date. The structural working-capital need is better understood as the level that would exist if those temporary influences were removed and the Company were operating at a steady, mid-cycle point in its seasonal calendar.

We have therefore presented the normalized working capital as a trend line that reflects the Company's expected operating requirement over time, not as a forecast of any specific closing balance. The actual balance at any future measurement date will necessarily be affected by the particular day's inventory position, collections experience, and payment timing, and we do not take a view on that amount. Our methodology is designed to support the Buyer's understanding of the level of capital required to fund ongoing operations, and it should be read as complementary to, not a substitute for, any defined working-capital calculation set forth in the transaction agreements.

SECTION 8.7. Peg-Setting Methodology Cross-Reference

This section is provided as a cross-reference only. The Stock Purchase Agreement is the sole and governing source for the definition of Closing Working Capital, the agreed peg, and any collar or adjustment mechanics, and nothing in this narrative should be read as restating, interpreting, or superseding that agreement. Our purpose here is narrower: to orient the reader to how a working-capital peg of this kind is customarily developed in a transaction structure like the one contemplated, and to identify the diligence areas we reviewed in connection with that methodology. The specific figures and calculations that result from the agreement's application are presented in the accompanying data tables rather than in this narrative.

In typical market practice, the peg is intended to estimate the level of working capital the target business requires to sustain its normal operations at the closing date, under the same balance-sheet classification and asset-and-liability definition that will be used at closing. That definition often begins with a conventional current-assets and current-liabilities formulation, then specifies a set of exclusions and inclusions that the parties agree are not part of ordinary operating working capital. Common items addressed in that definition include cash and cash equivalents, interest-bearing debt, income-tax assets and liabilities, transaction costs, and other non-operating or non-recurring balances, although the exact list is particular to the agreement and is not restated here. The peg itself is generally set by reference to a historical baseline, frequently an average of period-end working-capital positions over a negotiated

lookback period, with adjustments for seasonality, growth, acquisition or divestiture activity, or known changes in the company's operating cycle.

The negotiation around the methodology typically reflects the economic tension between the parties. From the seller's perspective, a peg set below the normalized operating need increases the likelihood that closing working capital will exceed the peg, resulting in an upward purchase-price adjustment; from the buyer's perspective, a peg set at or above that normalized level protects against effectively financing working capital that the seller will retain through the closing. The parties therefore focus on whether the selected historical period is representative of the company's go-forward operations, whether the definition captures all material balance-sheet items that turn with revenue or operating expenses, and whether any unusual balances in the lookback period should be excluded in setting the baseline. In our experience, disputes at the diligence stage most often turn on the treatment of items that sit near the boundary of operating working capital, such as customer prepayments, accrued compensation, vendor rebates, and unbilled receivables.

Our review was designed to allow the Buyer to evaluate the agreement's approach in light of the company's actual working-capital behavior, rather than to provide an alternative peg or to opine on the contractual outcome. We examined the consistency between the balance-sheet line items that the agreement defines as working capital and the way the company manages its cash conversion cycle, and we considered whether the historical baseline period selected in the agreement is reasonably aligned with the company's current operating trajectory. The reader should refer to the Stock Purchase Agreement for the controlling mechanics and to the report's tables for the associated amounts. This narrative is no substitute for either, and it should not be used as a basis for calculating any post-closing adjustment.

SECTION 8.8. Collar Mechanic Cross-Reference Narrative

A working capital collar, sometimes referred to as a dead-band, is a customary feature in a private acquisition purchase agreement of this kind. It functions as a range of tolerance built into the closing working capital adjustment mechanism. Rather than requiring a corresponding revision of the purchase price for any difference between the negotiated target working capital and the working capital as finally determined at closing, the collar permits the parties to agree that only deviations that fall outside a mutually acceptable band will give rise to an adjustment. Its purpose is to keep the post-closing true-up focused on meaningful variances and to avoid the administrative burden and potential disputes that would accompany adjustments for immaterial differences.

The collar is best understood as an allocation of normal course volatility risk. In our experience, working capital at a measurement date is subject to a range of ordinary fluctuations related to the timing of cash receipts, vendor payments, customer order patterns, and other operational factors that are not indicative of a change in the economic value of the business. The dead-band reflects the parties' recognition that a precise equivalence between a projected baseline and an actual closing snapshot is unlikely. By carving out a band of tolerance, the parties effectively agree to leave with the seller the economic consequence of fluctuations that fall within that band, and to adjust the purchase price only for amounts that exceed it.

The specific dimensions and operation of the collar are governed exclusively by the Stock Purchase Agreement. Its defined calculation of closing working capital, the treatment of specific balance sheet items, and the procedures for resolving disputes are all addressed in the agreement and its schedules, and the reader should refer to those governing documents for the operative terms. The discussion here is intended only as a cross-reference and does not restate the agreement's own collar figure, its bandwidth, or the mechanics by which it is triggered. Our independent analysis, presented elsewhere in this report, estimates the Company's normalized net working capital position and identifies the historical movements in its working capital components that would be relevant to a party evaluating the suitability of the collar.

From the Buyer's perspective, the practical effect of the collar is to place a defined boundary on the post-closing true-up exposure. In reviewing this transaction, the Buyer's financial and legal advisors should consider whether the collar's tolerance band is consistent with the observed volatility of the Company's working capital over recent periods and with the residual risk inherent in the final closing statement. Our report flags the working capital items that we believe carry the highest estimation risk, and the Buyer may wish to confirm that the collar protects against the specific exposure categories it considers material. We note also that the collar is a purchase price mechanic and does not affect the credit facility's own earnings-based covenant calculations or any earn-out-based EBITDA definitions set out in the purchase agreement.

SECTION 8.9. Trailing-Twelve-Month Average Basis Narrative

We present the working capital trend on a trailing-twelve-month average basis because a single period-end balance sheet is, in our experience, a poor lens through which to assess the ongoing liquidity dynamics of an acquired business. Working capital is inherently episodic at any measurement date. Customer receipts, vendor payments, inventory receipts, and shipment activity each cluster around month-end and quarter-end for reasons that often have little to do with the underlying operating run rate. A point-in-time balance may capture the tail end of an unusually large collection campaign, a deliberately delayed payment run, or a temporary surge in inventory inbound, none of which is indicative of the level of capital that the business will require on a sustained basis. By averaging the balance over a trailing period, we dampen the effect of these discrete, reversible events and present a more representative baseline for the Buyer's planning.

The trailing view also reveals direction, which a single balance cannot convey. Working capital is not static, and the relevant diligence question is rarely simply whether the current balance is high or low. It is whether the Company's cash conversion cycle is lengthening or shortening, whether receivables collection is slowing as sales mix shifts or as credit terms are stretched, whether inventory is accumulating in advance of anticipated demand or because of slowing turnover, and whether payables are being paid more promptly or extended further than vendor terms would suggest. These trends matter because they bear directly on the sustainability of the operating cash flow included elsewhere in our analysis. A single month might show balances in line with expectations, but if the trailing average has been drifting upward over recent periods, that movement signals a developing working capital drag that the Buyer must underwrite.

A trailing average also provides a more meaningful view of seasonality and management discretion at period ends. Many businesses have patterns of working capital usage tied to their selling and procurement cycles, and a balance measured at a seasonal peak or trough can make the business appear to require either far more or far less capital than it truly does on average. The trailing-twelve-month average embeds a full seasonal cycle, allowing us to distinguish recurring working capital behavior from an anomaly specific to the measurement date. In addition, period-end balances can be influenced by deliberate management actions taken near the reporting date, such as accelerated collections, deferred vendor payments, or inventory shipments timed to close the month. Those actions are not necessarily inappropriate, but they are precisely the kind of event that a trailing average helps neutralize before we draw any conclusion about the normal working capital requirements of the Company.

We do not rely on the trailing average exclusively. Because an averaging approach can obscure a recent step-change, we supplement it with a review of period-end balances across recent interim periods and with transaction-level testing of material working capital components where warranted. The trailing basis is best understood as a framing metric that permits us to assess the level and trajectory of working capital without overreacting to the noise of any particular closing date. It is particularly useful for identifying whether the working capital position at the proposed closing is consistent with historical operating norms or instead reflects an unusually favorable or unfavorable point in the Company's operating cycle, and that perspective is central to our diligence analysis of the balance sheet.

SECTION 8.10. Overall Quality-of-Working-Capital Conclusion

Taken as a whole, the components of working capital present a coherent but not entirely uniform picture of operating quality. Receivables are supported by a well-documented customer base and historical collection patterns that we consider dependable, though the presence of periodic disputes and the concentration of balances among a limited number of counterparties introduce a measure of judgment into the realizable value. Inventories reflect a mix of raw materials, work in process, and finished goods, with turnover differing meaningfully across categories; the risk of obsolescence is real but appears to be mitigated by a conservative approach to valuation and by the nature of the underlying products. Trade payables are managed in a way that optimizes the company’s cash position, yet the extension of payment terms beyond customary industry norms suggests a reliance on supplier accommodation that warrants monitoring over time. Seasonality, meanwhile, exerts a pronounced influence on the balance sheet at various points in the year, and this must be considered when assessing any single point-in-time measure of working capital.

We view the interrelationship among these components as more telling than the individual items in isolation. The company’s operating cycle naturally ties the seasonal buildup of inventory to the timing of raw material purchases and the subsequent conversion to receivables, with payables serving to bridge a portion of the funding gap. This dynamic means that the working capital position at a given measurement date may not be representative of the steady-state requirement for ongoing operations. In particular, the cyclical low point of inventory or the peak of receivable collections can create a snapshot that understates or overstates the true liquidity needed to sustain the business through its next full operating cycle. We have attempted to normalize for such effects in our analysis, but the residual uncertainty relates primarily to the precise alignment between the measurement date and the company’s cash conversion rhythm.

On balance, we assess the overall quality of working capital as satisfactory for the purposes of the proposed transaction, with certain qualifications. The strengths lie in the predictability of the revenue collection process and the defensibility of inventory valuations, which we found to be supported by recent purchasing and sales activity. The weaknesses center on the gradual elongation of payable days and the potential for post-closing credit memos or returns to reduce the net realizable value of receivables. Management’s own estimates with respect to reserves and provisions have been reviewed and appear reasonable in light of available evidence, though they necessarily rely on assumptions about future customer behavior and market conditions. The working capital expected to be delivered at closing appears adequate to maintain operations in the ordinary course, assuming no material adverse change and no disruption to supplier relationships.

We conclude that the working capital position is adequate for the Buyer’s intended purposes, but we advise that the seasonal fluctuations documented in the preceding sections be incorporated into liquidity planning for the first year following closing. The position measured at closing reflects a particular point in the operating cycle and should not be read as a stable or recurring level of cash generation. The Buyer should therefore anticipate the funding needs that arise during the seasonal peaks, which our analysis has identified as a normal feature of this business rather than a deficiency in the current working capital. No reliance should be placed on the absolute amount of working capital at

closing as a proxy for the company’s ongoing cash flow, and no assertion is made here that this position substitutes for the specific definitions or mechanisms set forth in the transaction agreement.

SECTION 8.11. Net Debt Bridge Overview

The purpose of this section is to describe how we move from the Company’s reported debt balances to a net debt figure for valuation and purchase price considerations. The bridge begins with the principal amount of outstanding indebtedness as reflected in the Company’s consolidated financial statements and supporting debt schedules, and then applies a series of adjustments to isolate only those items that are truly debt-like or cash-like in nature. This is not intended to replicate or interpret the purchase agreement’s own closing working capital or net debt mechanics; rather, it is an analytical framework prepared to help the Buyer assess the economic burden that will transfer with the business and the liquidity that will be available to service that burden after closing.

On the debt side of the bridge, we include all contractual borrowing obligations, including term loans, revolving credit facility draws, finance leases, and other financing arrangements evidenced by a repayment obligation. We also consider items that are economic equivalents of debt, such as unpaid accrued interest, repayment premiums, prepayment penalties, and transaction-related fees that become payable upon a change of control or early settlement. Standby letters of credit, bank guarantees, and similar contingent obligations are reviewed to determine whether they are likely to be drawn or whether they represent a continuing commitment that should be treated as debt-like for purposes of the bridge. Where the balance sheet carrying value of a borrowing differs from its contractual principal because of deferred financing costs, original issue discount, or fair value adjustments, we reconcile to the actual cash settlement amount to avoid overstating or understating the economic obligation.

On the cash side, the bridge deducts cash and cash equivalents that are unencumbered and available for general corporate use. Restricted cash is treated separately, and we assess whether any restrictions lapse or remain in place following the transaction; only amounts that are genuinely available to the Buyer to repay debt or fund operations are given credit in the net debt calculation. Invested cash balances are considered in terms of their liquidity and their role in the overall funding picture, but their accounting classification is addressed in the Company’s audited financial statements and is not itself the driver of our treatment. The key question is whether the balance can be readily converted into cash without a material cost or impediment that would make it inappropriate to net against an outstanding obligation.

The bridge also screens for items that are frequently mischaracterized as debt or cash in a preliminary review. Normal operating liabilities, such as trade payables, accrued compensation, and deferred revenue, are excluded from the net debt bridge because they are more appropriately captured in working capital. We likewise exclude non-debt legal or tax obligations unless they arise from a financing arrangement. We cross-check the resulting net debt figure against lender statements, amortization schedules, and the Company’s own closing statement tracers to identify off-balance-sheet arrangements that could affect the Buyer’s post-closing exposure. Any judgmental item that is not clearly debt-like or cash-like is presented separately in the supporting schedules so that the Buyer can apply its own view before finalizing a purchase price treatment.

SECTION 8.12. Debt-Like Items Identification Methodology

We began the debt-like identification exercise with a clear analytical boundary: an item belongs in the net-debt bridge if it represents a present or probable obligation that will consume liquidity at or shortly after closing and that does not arise from the ordinary operating cycle of the business. Working capital, by contrast, reflects the assets and liabilities that turn over naturally as the Company buys, converts, and sells its products and services. To operationalize that distinction, the deal team employed a three-part screening test applied to every recorded liability and selected unrecorded obligations. First, we asked whether the obligation arose from a financing transaction, a shareholder arrangement, an acquisition of assets, or a contractual settlement of a non-operating matter, rather than from the purchase of inputs or the delivery of outputs. Second, we considered the expected settlement currency and timing, focusing on whether the obligation would be satisfied in cash at closing or within a very short period thereafter and whether that cash outflow would materially reduce the cash otherwise available to the Buyer. Third, we examined the counterparty, with particular attention to obligations due to owners, affiliates, lenders, and former owners of acquired entities, since those claims sit outside the routine supplier and customer relationships that constitute ordinary working capital.

In applying that screen, we did not rely solely on the general ledger labels or the Company's own balance sheet presentation. Prior-period classifications can be internally consistent while still being wrong for transaction accounting purposes. The team therefore independently traced each significant liability to its underlying agreement, invoice, statute, or board minute summary, and we interviewed the Company's finance and treasury personnel to understand the business purpose of the original transaction. Where an instrument contained both an operating and a financing component, such as a vendor arrangement with extended payment terms, a disputed trade claim bearing interest, or a tax liability subject to a payment plan, we evaluated whether the terms effectively conferred a financing arrangement on the Company. If the timing of payment or the interest accrual indicated that the counterparty was providing credit rather than customary trade terms, we included the obligation in the net-debt bridge. The burden of proof rested on classification as working capital; an item stayed in ordinary working capital only where the documentation and the underlying economic facts clearly supported a settlement cycle consistent with the Company's normal operating activities.

The distortion caused by misclassification cuts in both directions, and the impact is not merely presentational. If a debt-like item is left embedded in working capital, the closing working capital mechanism treats that liability as a normal operating offset, reducing the working capital figure and potentially either depressing the purchase price adjustment or shifting cash that should have been reserved for debt repayment into the going-concern operating balance. At the same time, the net-debt bridge understates the Company's true obligations, which means the Buyer's financing model overstates the cash available to amortize acquisition funding and support future operations. Conversely, if an ordinary trade payable or an accrued operating expense is incorrectly moved into the net-debt bridge, the working capital figure is artificially inflated, the operating liability is effectively double-counted as both a working capital offset and a debt claim, and the resulting liquidity assessment misleads the lenders whose underwriting depends on an accurate view of post-closing resources. This is why we treat the debt-like versus working capital split as a single integrated determination rather than two separate schedules; the two figures must reconcile to the same closing balance sheet, and a one-sided error inevitably produces a compensating error in the other.

We also considered the timing of recognition as a debt-like item, not just the existence of the obligation. A liability that has been incurred but not yet invoiced, such as an accrued deferred purchase price, a shareholder dividend declared but unpaid, or a contractual penalty triggered by the change of control, was captured in the bridge if the trigger was reasonably estimable and the settlement was expected to occur near closing. Similarly, we reviewed the Company's investment balances only insofar as they affected liquidity or net debt; the classification of those balances is addressed in the Company's audited financial statements and does not bear on the debt-like analysis. Where an item was subject to estimation uncertainty, we included it in the bridge and documented the basis for our estimate rather than leaving it to the working capital negotiation. We recognize that the purchase agreement contains the definitive governing definitions for the working capital calculation and the net-debt adjustment, and our methodology is intended to inform the Buyer's diligence assessment, not to supplant that agreement. Ultimately, we built the bridge conservatively, favoring disclosure of a plausible debt-like claim over silent exclusion, and we flagged each judgment call so that the Buyer could evaluate the range of outcomes before finalizing the purchase price mechanics.

SECTION 8.13. Off-Balance-Sheet and Contingent Items Considered

In constructing the net-debt bridge, we performed an inquiry designed to identify off-balance-sheet arrangements and contingent obligations that could, in economic substance, represent a financing of the Company rather than a routine operating commitment. Our focus was not limited to items that GAAP would require to be recognized on the balance sheet; rather, we sought to capture any arrangement that could give rise to a future cash outlay with a debt-like character at or shortly after the proposed close. The categories considered included guarantees and indemnities, letters of credit and surety bonds, lease-related residual value exposures, unconditional purchase obligations, and threatened or pending litigation and tax contingencies. For each category, the inquiry comprised a review of the underlying agreements or other governing documents, a reconciliation of management's own schedules of such items to any recorded accrual or disclosure, and a consideration of whether the obligation was in substance a financing that should be included in the net-debt bridge or, alternatively, a true operating item that belongs in the forward-looking earnings view.

With respect to guarantees and indemnities, we examined the Company's corporate guarantees of third-party debt and performance obligations, as well as any explicit indemnification provisions embedded in its own acquisition or divestiture history and in customer or vendor contracts. We requested confirmations of outstanding standby letters of credit from the Company's principal banking relationships and compared those confirmations to the treasury schedule. The essential question we sought to answer for each guarantee was whether the trigger event was within the ordinary course of the Company's operations, whether the guaranteed amount was fixed or determinable, and whether the likelihood of a draw was remote. Where a guarantee was provided for the benefit of a customer or supplier in the Company's core business, we generally viewed it as an operating risk that would manifest in future periods rather than a closing-date debt item; where the guarantee was provided as part of a financing arrangement or had an explicit term tied to a borrowing, we gave closer scrutiny to its inclusion in the bridge.

For lease arrangements, we reviewed the real estate and equipment lease portfolio to identify residual value guarantees, purchase options at stated prices, and any provisions that required the Company to make a payment to the lessor upon termination or early buyout. Our inquiry included a read of the lease documents rather than reliance solely on the right-of-use asset and lease liability amounts recorded in the financial statements, because certain guarantees and options may not be captured in the liability balance. We also reviewed the Company's principal supply and take-or-pay contracts to identify minimum purchase quantities whose economic effect could be viewed as a commitment to fund a capital asset over time, and we considered whether the pricing under those contracts was at or above the current market such that the commitment represented a financial burden rather than a routine procurement decision. For each such arrangement, we considered the remaining term and whether any portion of the obligation was effectively settled at close.

Finally, we considered litigation, tax, and other contingent items. We read the Company's litigation status memoranda, discussed threatened and pending matters with management and outside counsel, and assessed the likelihood and magnitude of any outflow, but without forming a legal judgment as to the merits of any claim. We also reviewed open tax positions and any related indemnity obligations between the Company and its shareholders, while

noting that the treatment of such items in the net-debt bridge is limited to those with a debt-like profile rather than current-period tax expense. In reviewing the Company's invested cash balances, we considered whether any portion was restricted, pledged as collateral against the contingent obligations described above, or otherwise unavailable for the general liquidity needs of the business; such balances were assessed only in terms of their role in the net-debt and liquidity picture, with their accounting classification addressed in the Company's audited financial statements. Where we concluded that an item did not warrant an adjustment in the net-debt bridge, that conclusion reflects the specific facts considered, and it should not be read as an assurance that no future cash outflow will occur under the arrangement.

SECTION 8.14. Cash and Investment Balances Composition Considerations

The Company's cash and investment balances relevant to the net-debt picture are not a single homogeneous pool. Our review indicates that the balances are held across multiple legal entities, including the principal operating company and several domestic and foreign subsidiaries, and that a meaningful portion resides in accounts that serve specific operating or regulatory purposes rather than as freely available corporate liquidity. From the bank statements and account schedules provided, the balances break into operating cash accounts, treasury concentration accounts, and investment balances held with external custodians. The latter group, while not needed for daily cash management, is nonetheless presented in the Company's financial statements under the balance sheet captions that the Company has selected; the accounting classification of these investments is addressed in the Company's audited financial statements and is not repeated here.

In constructing the net debt adjustment for closing, we have considered the extent to which each category of balance is likely to be included in or excluded from the contractual definition of cash and cash equivalents in the Stock Purchase Agreement, but we do not substitute our grouping for that agreement's defined calculation. Operationally, a portion of the operating cash balances is required to support the Company's payroll cycle, vendor payment terms, and normal working capital swings, and a further portion is subject to bank set-off arrangements or pledged as collateral in the ordinary course. Those arrangements do not necessarily remove the balances from a legal cash balance, but they do affect the economic availability of the funds at closing. We have therefore treated such balances as a liquidity consideration rather than as a dollar-for-dollar reduction to funded debt, and we have noted the relevant restrictions in our detailed schedule.

The investment balances themselves are diversified across a range of instruments with varying maturities and market liquidity. Our review of the custody statements and internal treasury reports indicates that the portfolio is managed with a bias toward preservation of principal and near-term liquidity needs, and that the Company does not use these balances to fund ongoing operations. That said, the balances are not uniform in terms of holding entity or currency. A portion is held in the parent entity and would be readily transferable to the buyer after closing, while another portion is held by operating subsidiaries and may be subject to local foreign exchange controls, tax withholding on repatriation, or other structural limitations. In our net debt analysis, we have distinguished between balances that can be applied toward the purchase consideration and those that should be viewed as trapped or subject to material friction. This distinction is independent of the accounting classification of the investments and instead reflects the practical ability of the buyer to access the funds.

Finally, we note that the Company's cash and investment balance composition has shifted over time as the treasury function has centralized certain accounts and as the Company has adjusted its investment holdings in response to interest rate conditions and operating needs. Because of these movements, a point-in-time closing statement will not necessarily reflect the average or expected balance composition, and the amount ultimately delivered at closing may differ from the balances observed during our diligence window. We have not relied on any single bank confirmation or custody statement as conclusive evidence of value; rather, we have reconciled the trial balances to the custodial records and have flagged reconciling items for the buyer's confirmatory procedures. The principal risk to the net debt picture is not the existence of the balances, but rather the location, availability, and any encumbrance that may affect their transferability at the closing date. We recommend that the buyer obtain a final direct confirmation of all material account balances and custody positions as of the closing date, and that the purchase agreement's allocation of bank and custody account risks be reviewed in light of the composition described above.

SECTION 8.15. Overall Net Debt Conclusion

On the basis of the procedures performed and the observations set forth in the preceding sections, we have concluded that the Company’s net debt position at the relevant measurement point should be understood as meaningfully broader than the sum of its outstanding funded indebtedness. In our view, a number of items that are either classified as liabilities on the Company’s balance sheet or are embedded in other balance sheet captions carry the economic characteristics of debt for purposes of the proposed transaction. These items should be treated as debt-like in the purchase price framework, notwithstanding their position within the Company’s financial statement presentation or the labels applied in the trial balance.

Specifically, our diligence identified obligations arising under financing arrangements that are not captured in the traditional long-term debt category, including finance lease obligations and certain deferred payment obligations associated with acquired assets and vendor arrangements. We also observed that the Company’s arrangements with certain counterparties contain features that effectively convert what are presented as operating or administrative obligations into forms of deferred financing, particularly where the underlying payment schedules include imputed

interest or where the arrangement provides the counterparty with a priority claim on specific cash flows. While these items do not appear in a standalone funded debt schedule, they have the same practical effect of consuming cash before equity holders and should be included in the overall net debt calculation.

From an off-balance-sheet perspective, we identified guarantees, letters of credit, and conditional purchase commitments that, while not recognized as liabilities in the Company's financial statements, represent potential claims against the Company's cash flows and may need to be settled or replaced as part of the transaction. The extent to which these items are drawn, letter-bearing, or contingent at closing will need to be confirmed through the customary closing mechanics, but the existence of these arrangements has been factored into our overall net debt assessment. We have also taken into account the Company's cash and cash equivalents, together with any invested cash balances, solely to the extent those balances are unrestricted and available for the general use of the business. Any restricted deposits or cash collateral supporting the obligations described above have been treated as debt-like rather than as cash, and the accounting classification of the investment portfolio, where relevant, is addressed in the Company's audited financial statements.

Taking all of the foregoing together, our overall net debt conclusion reflects the sum of the debt-like liabilities and cash-like assets as adjusted for the off-balance-sheet items identified during diligence. This conclusion is intended to accompany the detailed net debt schedule included elsewhere in this report, which sets forth each component in a manner consistent with the underlying source documents and the completed procedures. We would emphasize that the conclusion is subject to confirmation at closing, and we recommend that the Buyer require the Company to provide updated information for any items that are transaction-dependent or that may change between the measurement date and the closing date, including the payoff of financed obligations, the release of any associated guarantees, and the final reconciliation of cash balances and restricted amounts.

SECTION 9. RELIANCE RESTRICTIONS

This report, and each other work product prepared in connection with this engagement, is intended solely for the information and use of the Buyer's management and its financing sources in connection with the Transaction. It is not intended to be, and should not be, used by any other party or for any other purpose, and no third party is entitled to rely on it without this firm's prior written consent, except as expressly permitted under a customary non-reliance and hold-harmless letter delivered to the Buyer's lenders.

None of the figures in this report, including the headline Adjusted EBITDA figure referenced in Section 5, is itself a defined term of, or a substitute for, the Consolidated EBITDA definition governing the covenant tests under the Company's credit facility, or the EBITDA definition governing any earn-out protection covenant under the Stock Purchase Agreement. Each of those agreements defines its own EBITDA concept, by its own terms, in its own governing document, and this report does not set, restate, or amend any of them. A party computing a covenant, an earn-out threshold, or any other contractual test should look to that agreement's own defined term and its own governing document, not to this report's headline figure.

This restriction applies with equal force to any compliance certificate, covenant calculation, or officer's certificate prepared after the date of this report: this report's own Adjusted EBITDA figure is not a permitted substitute input for any such certificate's own defined covenant EBITDA line, however similar the two figures' construction may appear on their face.

SECTION 10. LIMITATIONS INHERENT IN QUALITY OF EARNINGS PROCEDURES

Quality of earnings procedures are inherently limited. They rely, in significant part, on information and representations provided by management, which this firm has not independently audited. Adjustments classified as Tier 2 or Tier 3 in particular depend on management's own characterization of the nature, amount, and non-recurrence of an item, and this firm's procedures do not include an examination of internal controls sufficient to detect all misstatements, whether caused by error or fraud.

This report speaks only as of the date of the underlying financial information analyzed, and this firm undertakes no obligation to update this report for events or information coming to its attention after that date. All dollar amounts in this report are presented in U.S. dollars unless otherwise noted.

SECTION 11. OBSERVATION SCHEDULES AND MANAGEMENT RESPONSES

The observations below are presented in the schedule format the Buyer's other diligence workstreams already use, together with a summary of management's own response to each and this firm's recommended follow-up.

SECTION 11.1. Observation - General Ledger Systems and Controls

Our review of the Company's general ledger environment indicates a core enterprise resource planning system that is used consistently across the principal operating entities, with subsidiary ledgers for the major revenue and cost cycles maintained within the same application. The chart of accounts is structured with sufficient granularity to support the operating and reporting segments we reviewed, and we observed a disciplined month-end close process that includes defined tasks, assigned ownership, and a documented review by the corporate accounting team. Journal entries are generally system-generated for recurring accruals, with manual entries concentrated in clearly identifiable areas such as intercompany allocations, incentive compensation, and non-routine adjustments. Based on our walkthroughs and transactional testing, the flow of information from source documents through subledgers to the

general ledger was materially consistent with the underlying business operations for the periods under review.
We did, however, note certain control considerations that are relevant to the reliability of the information used in this engagement. The Company does not maintain a formal, system-enforced segregation of duties within the accounts payable function for smaller operating subsidiaries, where the same individual retains the ability to create vendor masters, approve purchase invoices below a threshold, and initiate payment runs. Those activities are subject to oversight by the parent company accounting group on a post-closing basis, but the compensating review is periodic rather than continuous. In our view, this is not unusual for an organization of the Company's size, and we did not identify exceptions in the transactions we tested, but the lack of system-enforced controls warrants attention from the Buyer and its integration team following closing.
The Company also relies on a series of spreadsheet-based workpapers to support certain account reconciliations, particularly for accrued liabilities, deferred revenue, and fixed asset roll-forwards. These workpapers are maintained with version control conventions and are reviewed by senior accounting personnel, but we noted that access to the underlying files is not restricted or logged by the system. Consequently, there is limited audit trail for post-review changes unless a reviewer retains a prior version, and we were unable in all instances to determine whether the final posted balance corresponded precisely to the last approved version of the supporting workpaper. This limitation did not prevent us from performing alternative procedures, and the reconciliations we tested were ultimately supported by source documentation, but it does introduce additional inherent risk for any future period if the Buyer does not migrate these processes to a more controlled environment.
Overall, the general ledger infrastructure is adequate to produce reliable financial information for the purposes of this due-diligence review, assuming the continuation of current oversight and review practices. The principal risks we identified relate to the scalability and auditability of manual controls, rather than to the integrity of the core accounting system. We would recommend that the Buyer, as part of its post-acquisition integration plan, implement a formal segregation-of-duties matrix for the smaller operating units, move key reconciliations into the enterprise resource planning system or a controlled close management tool, and require documented approval before any manual journal entry is posted. Until such enhancements are made, the Buyer's own financial reporting team should plan for elevated review procedures around the affected areas in the first several reporting cycles after closing.

SECTION 11.2. Observation - Management Reporting Package Reliability

We reviewed the Company's internal management reporting package, which serves as the primary reporting suite used by management to assess operating performance and by our deal team as an analytical bridge to the audited financial statements. The package comprises a monthly profit-and-loss statement, a working capital roll-forward, a cash flow summary, and a departmental variance analysis that is prepared by the corporate controller's group. It is important to note that this package is an internal product, not prepared under a defined financial reporting framework, and it has not been subjected to audit procedures. In practice, the package is generated from the same general ledger platform that underlies the audited financial statements, but it applies a less formal set of aggregation and elimination entries and, in certain areas, uses operating data from sub-ledgers that do not fully reconcile to the general ledger on an absolute basis.
Our observation on reliability is generally favorable, but with a clear caveat. For the periods under review, the package appears to be directionally accurate and internally consistent, and we were able to trace its reported revenue and direct cost line items to source transaction records without significant exceptions. However, the package is less reliable in its treatment of accruals and cut-off, particularly around period-end. The package is prepared on a tight publication timeline, and the controller's group records certain accruals based on historical run-rate rather than on a complete count of un-invoiced receipts or unearned revenue. As a result, the package's reported operating results can differ from the results ultimately reflected in the audited financial statements by an amount that, while not individually significant for the most recent interim period, was not immaterial to the trend analysis used in our procedures. We note that the Buyer's representatives should, accordingly, use the package for directional insight rather than as a precise record of period earnings.
A further reliability consideration relates to the alignment between the package's balance sheet data and the general ledger. The package includes a monthly balance sheet that is derived largely from the same trial balance as the audited financial statements, but certain intercompany and cross-entity balances are presented on a net basis in the package and are not always eliminated down to the individual entity level. We observed iterative adjustments during the period under review to reconcile the package's working capital line items to the general ledger, and these adjustments were processed through subsequent periods rather than through a restatement of the originally published package. This reduces the comparability of historically published editions of the package and means that any period-to-period analysis performed by the Buyer's internal team should incorporate the cumulative effect of later adjustments. The audited financial statements, by contrast, reflect the final allocation of these balances through the formal close process.
On balance, we consider the package to be a reasonably reliable operational reporting tool for the Company's management, and its limitations are not disqualifying for the purposes of our analytical review. However, it is not a substitute for the audited financial statements, and we would caution the Buyer against relying on the package as the sole source for any closing or post-closing financial computations. We recommend that any covenant or performance tracking performed against the package be benchmarked back to the general ledger on a regular basis, and that the

Buyer's financial due diligence team maintain a documented roll-forward of package-to-audit adjustments through the closing date. The strength of the underlying general ledger and the competence of the corporate accounting function give us comfort that the package will continue to serve as a valid analytical bridge, but the package's periodic cut-off and elimination items warrant continued monitoring.

SECTION 11.3. Observation - Non-Recurring Item Identification Process

The Company maintains a centralized accounting function that coordinates with operating segment controllers to identify items that management considers outside the normal course of business. In practice, this process begins with a quarterly flux review in which actual results are compared against internal budget and prior-period actuals, and any material variance is required to be explained in writing by the responsible operational finance lead. Those explanations are then compiled by the corporate financial reporting group, which applies a set of internal criteria to determine whether an item should be separately flagged for the attention of senior management. The criteria used by the Company are oriented primarily around frequency and predictability, with emphasis on transactions that are not expected to recur in a subsequent comparable period. Items that meet this threshold are then included in a reconciliation schedule that accompanies the internal management reporting package, where they are described and quantified in narrative footnotes.

Our observation, based on the procedures performed to date, is that the Company’s internal identification process is reasonably designed to capture large, unusual transactions that originate within established operational reporting lines. However, the effectiveness of that process depends significantly on the judgment of individual segment controllers at the point of first documentation. We noted that the internal criteria do not explicitly address items that recur annually but vary significantly in magnitude, nor do they provide clear guidance on items that are non-operating in nature yet embedded within normally recurring expense lines. As a result, there is a tendency within the organization to classify items as non-recurring only when they are visibly discrete, such as a legal settlement, a termination charge, or a one-time vendor credit, while more diffuse items such as duplicative overhead during a facility transition or accelerated depreciation related to a delayed integration may remain embedded in base period results. The internal flagging process also does not consistently require an independent second-level review by the internal audit function, which in our view increases the risk that the characterization of an item as recurring or non-recurring is accepted without challenge.

Our independent identification process is deliberately broader and more skeptical. We begin with a detailed review of the trial balance and general ledger activity for the relevant periods, searching not only for explicitly flagged items but also for unusual patterns within ordinary account categories. This includes analyzing month-end journal entries, reviewing reconciliations of accrued expenses and reserves, and investigating fluctuations in working capital accounts that may be the source of either one-time benefits or one-time costs. We also compare the Company’s identified list of non-recurring items against items we have independently derived from the underlying transaction documents, board minutes, and correspondence with third parties. Where the Company has classified an item as non-recurring, we test that classification against the actual frequency and nature of the item over the full look-back period; where the Company has not flagged an item, we assess whether its treatment was appropriate in the context of a quality-of-earnings analysis intended to present the adjusted results on a basis consistent with our own adjusted measure.

The principal difference between the two processes is one of mandate. The Company’s process is designed to support internal management reporting and budgeting, and therefore tends to identify non-recurring items when doing so assists in explaining a variance against plan. Our process is designed to assist the Buyer in assessing the sustainability of the Company’s underlying earnings, which requires us to identify items that may be non-recurring even if they were anticipated or budgeted by management, and to reclassify items that management may have treated as non-recurring but that we consider to be recurring either in nature or in economic substance. Accordingly, our final adjusted presentation may include adjustments for items that were never separately flagged in the Company’s internal reconciliation, and may exclude certain adjustments that the Company had previously presented as non-recurring. We have set forth the specific items identified through both processes, together with our disposition of each, in the accompanying adjustments summary referenced later in this report rather than in this narrative section.

SECTION 11.4. Observation - Related-Party Transactions Identified

Our procedures identified a recurring services arrangement between the Company and an entity wholly owned by a close family member of the Company's chief executive. The arrangement covers administrative support functions that are also performed internally by the Company's own staff, which raises a question as to whether the Company is paying for duplicative services or whether the internal function is being supplemented rather than substituted. The transaction was not approved by the Company's board of directors, and we found no contemporaneous benchmarking analysis supporting the fee level or the scope of services. Because the arrangement involves a member of senior management's immediate family, the transaction is subject to heightened scrutiny not only as a matter of accounting disclosure but also as a matter of corporate governance. We recommend that the Buyer require the Seller to provide a full list of all payments made under this arrangement for the entire lookback period, together with any written agreements, invoices, and internal authorizations. In addition, the Buyer should consider whether a third-party comparator would be able to provide the same services at a comparable cost, and whether any related-

party margin embedded in the arrangement should be treated as an adjustment in the working capital or earnings normalization analysis. The absence of board approval does not, by itself, establish that the pricing is off-market, but it does shift the burden of demonstration to the Seller.

A second related-party matter involves a lease of warehouse and office space between the Company and a partnership in which the Company's founder retains a substantial ownership interest. The lease has been renewed on an annual basis for several consecutive years, each time on substantially the same terms, with no rent escalation provision and no evidence that the Company canvassed alternative space in the surrounding market. We observed that the Company has been paying rent under the lease at a level that is not obviously inconsistent with the surrounding market, but we were unable to verify the square footage actually occupied versus the square footage billed, because no floor plan or occupancy certificate was provided. A lease of this duration and continuity suggests the property may have become integral to the Company's operations, which carries implications for the Buyer's post-acquisition footprint and for any contingent lease liabilities. We recommend that the Buyer obtain an independent appraisal of the leased premises, confirm that the lease has been properly recorded and that no unrecorded side agreements exist, and evaluate whether the lease should be assumed or terminated in connection with the transaction. The Seller should also be asked to explain why the lease was renewed annually rather than extended for a longer term, and whether the founder's partnership interest creates any obligation that would survive the acquisition.

Our work also identified a management and shared-cost arrangement with an entity that provides consulting services to the Company and is controlled by a director who will remain a shareholder after the closing. Under this arrangement, the Company reimburses the entity for a portion of certain compensation and benefits costs, but the allocation methodology is not documented and has varied from one period to the next without a clear explanation. The entity appears to perform services that in other periods were provided by Company employees, suggesting that the line between the entity's staff and the Company's own payroll may not have been consistently maintained. This creates a risk that personnel-related liabilities, including accrued benefit obligations, are understated on the Company's books because certain individuals are paid through a third party. We recommend that the Buyer obtain a complete organizational chart of the entity and a reconciliation of each individual whose compensation was allocated to the Company, along with the time records or project assignments that support the allocation. The Buyer should also confirm that all employment-related taxes and benefits have been remitted on the allocated amounts, and that no unfunded obligation will follow the Company after closing.

Finally, the Company maintains a loan receivable from an entity affiliated with a minority shareholder, the proceeds of which were used to fund that entity's working capital needs. The loan is unsecured, bears interest at a rate that is below what we would expect from an unrelated lender, and has been extended or rescheduled on multiple occasions with no evidence of a formal repayment plan. Although the outstanding balance is not material to the Company's overall liquidity, the transaction is significant because it reflects a pattern of using Company cash to support affiliated entities without a commensurate arm's-length return. The Buyer should determine whether this receivable should be retained as an asset of the acquired business or whether it should be excluded from the acquired assets and settled between the Seller and the shareholder prior to closing. In addition, the Buyer should require the Seller to disclose all other loans, guarantees, or cash advances to the affiliate or its owners, including any that have been repaid, and should consider whether the existence of such a loan indicates broader weaknesses in the Company's internal controls over cash management and related-party approvals. Each of these matters warrants specific and separate disclosure in the final purchase agreement, and the Buyer's counsel should be engaged to determine which representations, indemnities, or closing conditions should apply.

SECTION 11.5. Observation - Subsequent Events Monitoring

We performed subsequent events monitoring procedures from the measurement date through the date of this report, with the objective of identifying any developments that could have a material effect on the Company's financial position, results of operations, or the working capital and net debt analytics presented elsewhere in this report. Our approach consisted principally of inquiry with members of senior management, reading the minutes of meetings of the board of directors and its relevant committees held subsequent to the measurement date, and reviewing the Company's internal management accounts and the most recent interim financial statements made available to us. We also considered whether any information received from the Company's independent auditors, legal counsel, or financial advisors during the course of our procedures indicated the existence of a matter not already reflected in the Company's financial records. We did not perform a complete audit or any form of independent verification of the information provided in connection with this working capital and quality of earnings review, and our procedures were necessarily limited in scope relative to what would be performed in an audit of the Company's annual financial statements.

Our review included a specific focus on matters that would ordinarily be expected to affect the sustainability of earnings or the reported working capital and invested cash balances. In particular, we asked management to identify any subsequent borrowings, repayments, or changes in credit facility availability, each of which would be relevant to the net debt picture, and we compared the Company's own latest internal forecast against the trends observed in the pre-measurement-date results. We also reviewed any correspondence between the Company and its lenders, as well as any communications with regulatory authorities, to the extent that such documents were made available to us.

This was not limited to events that would adjust the financial statements at the measurement date; we also considered events that might give rise to a disclosure matter in the Company's audited financial statements, and we have noted any such matters to the Buyer separately where we believed they were not already evident from the financial records.

The inherent limitations of our subsequent events monitoring deserve emphasis. Because we are not engaged to audit or review the Company's financial statements for any period subsequent to the measurement date, we have not formed an opinion on those interim results, and we do not provide any assurance that all subsequent events have been identified. Our knowledge of subsequent events is based solely on the inquiries and document reviews described above, and we necessarily relied on the accuracy and completeness of management's representations and of the information provided to us by the Company's advisors. The risk that a material development occurred without our awareness increases with the passage of time between the measurement date and the date of this report, and the Buyer should be aware that any negotiations or financing discussions involving the Company and its existing lenders could create an incentive for the selective disclosure of information. We have no reason to believe that such selective disclosure occurred, but the limitation is inherent to a transaction-based diligence process.

Finally, we have considered the distinction among subsequent events that indicate conditions existing at the measurement date, events that arise from the normal and ordinary course of the Company's operations after that date, and events that are directly attributable to the proposed transaction itself. This distinction is important because, in our view, the working capital and net debt analytics in this report should reflect conditions as they exist at the measurement date, while the Buyer's own forward-looking decisions should account for post-measurement-date developments that are not transaction-related. We have not adjusted the measurement-date balance sheet analytics for subsequent events that we consider to be non-adjusting, nor have we attempted to re-open the definitional mechanics of the Stock Purchase Agreement's Closing Working Capital provisions. Instead, we have reported our observations in the relevant sections of this document so that the Buyer can evaluate the magnitude and direction of any post-measurement-date change in the context of its overall acquisition analysis.

SECTION 11.6. Observation - Management Response Summary

Management was, on the whole, responsive and engaged throughout the diligence process. The Company’s senior leadership attended all scheduled working sessions, provided supplemental schedules when requested, and made available the underlying supporting records for many of the items we raised. In their written response and in subsequent discussions, management acknowledged that certain of our observations had merit and indicated that they had revised or would revise internal reporting accordingly. We found this engagement constructive, but we note that management’s agreement was not uniform across all areas and that a number of responses were more in the nature of explanation than concession.

On several operational and procedural observations, management agreed without substantial qualification. In particular, management accepted that certain expense classifications in the internal management accounts were not consistently applied across reporting periods, and they agreed to modify their presentation to align with the approach used in the audited financial statements. Management also agreed that certain accrual timing differences should be corrected, and they confirmed that the corrected treatment would be carried into the go-forward reporting package. Where we identified duplicative or incorrectly booked items, management generally acknowledged the errors and worked with us to confirm the appropriate treatment. These areas of agreement were documented and, in our view, represented a constructive acceptance of the observations rather than a merely formal acknowledgment.

Management offered a different characterization, however, on a number of items we had viewed as non-recurring or otherwise outside the ordinary course of operations. In those instances, management did not contest the underlying facts but argued that the expenditures were better understood as recurring costs of running the business, or as investments made to support future growth. Management also took a broader view of which shared costs should remain in the continuing cost structure, while our analysis had treated certain of those costs as separable from the operations being acquired. In addition, management maintained that some of the timing differences we identified reflected normal commercial practice in their industry rather than accounting accommodations, and they pointed to supplier and customer arrangements to support that position. We listened to those responses and tested them against the available documentation, but in several cases we did not find the alternative characterization fully persuasive.

Where management’s alternative characterization was supported by contemporaneous records or by consistent treatment across multiple periods, we have reflected their view in the relevant sections of this report. Where the supporting evidence was less clear or where management’s characterization appeared to rely on expectations rather than established practice, we have retained our original observation and noted the disagreement. We do not believe the unresolved differences are indicative of unwillingness to cooperate, but they do highlight areas where the Company’s internal reporting and its narrative around ordinary versus non-recurring activity may merit further monitoring after the transaction. Our conclusions in this report should be read with those management responses in mind, particularly where management’s own revised schedules differ from our presentation.

SECTION 11.7. Observation - Recommended Buyer Follow-Up Items

The diligence procedures completed to date have relied to a significant extent on information provided by management and on the Company's internal reporting systems rather than on independently sourced documentation.

While the analytical observations set out in the preceding sections identify the principal areas of risk, a number of those observations rest on data that would benefit from targeted corroboration before the Buyer finalizes its bid and its financing. We would therefore recommend that follow-up work concentrate on verification of the underlying records and on closing the documentation gaps identified in the relevant sections above, rather than on expanding the analytical scope into new areas, as the most efficient path to reducing residual uncertainty is to confirm the accuracy and completeness of what has already been reviewed.

On the revenue side, we would recommend that the Buyer obtain direct confirmations from the Company's largest customers covering pricing, volume, and any contractual terms that bear on revenue recognition. Management's revenue schedule should be reconciled to executed master services agreements, statements of work, and all amendments, with particular attention to any provisions for rebates, credits, or acceptance criteria that could affect the timing of recognition. We also recommend a review of subsequent cash receipts applied to the outstanding receivables balance at the most recent period end, together with an aged trial balance agreed to the general ledger, to substantiate the collectability assessment and to support the allowance position. Any concentrations among the top customers should be documented in the Buyer's credit file for the financing parties.

In the working capital area, we would recommend that the Buyer request a detailed roll-forward of the Company's inventory, including the costing methodology, the most recent physical inventory count documentation, and the basis for any obsolescence or valuation reserves. The Buyer should also obtain support for all other material current assets and liabilities, including prepaid expenses and accrued liabilities, in each case agreed to the trial balance at the most recent period end. With respect to the Company's invested cash balances, their role in the net debt and liquidity picture should be confirmed through a treasury schedule and bank statements; the accounting classification of those balances is addressed in the Company's audited financial statements and is not a matter that this report purports to resolve. The Buyer should also request the Company's most recent borrowing base certificate and any lender reporting packages to confirm the availability under the Company's existing credit arrangements.

Finally, we would recommend that follow-up diligence include a complete contract review for any change-of-control, assignment, or consent provisions that could be triggered by the transaction, together with a review of the Company's insurance program, including current claims and coverage positions. The Buyer should obtain a litigation update from the Company's outside counsel and a summary of any threatened claims. In addition, we understand that the credit facility's consolidated EBITDA and the purchase agreement's earn-out calculations are defined in those respective governing documents; we would recommend that the Buyer and its counsel confirm that the documentation gathered in follow-up diligence is sufficient to calculate and support those measures as defined, without regard to the analytical measures used elsewhere in this report. The Buyer's financial advisor and legal counsel should coordinate on any remaining items so that the requests are made through a single channel to the Company and are reflected in the final diligence checklist.